COMPLETE LEARNING SESSION

Corporate Governance and International Ethics - Complete Topic Package

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

Corporate Governance and International Ethics

TEN-SESSION CORE PATH • PRACTICE • OPTIONAL ADVANCED • REGISTER NOTES

1. Ethics in business, corporate governance and CSR: the three-layer foundation
2. Core definitions and the domestic-international integrity architecture
3. How corporate governance and international ethics interlock with public administration
4. Indian applications, institutional evolution and the compliance-theatre warning
5. Prelims facts, close-option traps and answer differentiators
6. PYQ ownership, cross-links and core Mains theses
7. Probable questions and exam entry points
8. CSR doctrine: thresholds, unspent funds, impact assessment and limits
9. War ethics, international aid and non-refoulement boundaries
10. Evidence units, directive decoding, case architecture and final synthesis

Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Corporate Governance and International Ethics - Complete Topic Package

Subject: Ethics **Section:** Subject-wide Syllabus **Generation:** learner-v2:g1 **Ownership:** GS-IV Ethics topic; recent official-paper questions retain their exact year, paper and source note. **Source policy:** complete Basic owner first; solved practice before optional Advanced depth; consolidated register notes last.

CURRENT-AFFAIRS ANCHOR

UNODC and UN Global Compact: updated An Anti-Corruption Ethics and Compliance Programme for Business: A Practical Guide, March 2026

- FACT: Fact: The March 2026 publication is a joint UNODC and UN Global Compact guide.
- FACT: Fact: It updates the original 2013 publication and presents a globally applicable standard for business anti-corruption ethics and compliance programmes.
- FACT: Fact: It provides concrete, actionable steps for companies of all sizes and includes tailored recommendations for small and medium-sized enterprises.
- FACT: Fact: Its transformational-governance lens goes beyond compliance and links integrity with environmental stewardship, human rights, gender, responsible technology and transparent, inclusive governance.
- FACT: Fact: It addresses emerging risks, including artificial intelligence and external shocks affecting business operations.
- FACT: Fact: It can serve as a benchmark when governments assess programme effectiveness for integrity incentives such as subsidies, licences, public procurement or export credits.

ANALYSIS: Inference / administrative link: ANALYSIS: Corporate-governance use: the guide converts ARC's ethics-in-business insight into a current implementation architecture. Boards and governments should test whether integrity programmes alter incentives, risk assessment, reporting and remedy across core decisions, rather than count policies or training sessions alone.

ANALYSIS: Limit: Do not present the guide as a treaty, binding domestic law, certification, automatic defence to liability or proof that a company is ethical. Its benchmark function does not displace Companies Act, SEBI, competition, labour, environmental, procurement or criminal-law duties.

Official source links:

- https://businessintegrity.unodc.org/bip/en/webstories/2026/new-practical-guide-launched-to-advance-global-anti-corruption--ethics-and-compliance-in-business.html
- https://businessintegrity.unodc.org/bip/uploads/documents/resources/An_Anti-Corruption_Ethics_and_Compliance_Programme_for_Business-_A_Practical_Guide.pdf

Source caution: The corrected canonical Topic 12 Basic and Advanced owners, the official syllabus mapping and books\ethics4.pdf control the doctrinal spine. Quote official PYQs only from the stated local GS-IV PDFs; routing ledgers establish ownership boundaries, not exact wording. Preserve ARC's ethics-in-business distinction: corporate governance structures, ethical core operations and CSR expenditure are separate layers. For qualifying companies CSR compliance is statutory, although lawful project choice remains; use the s.135 thresholds and two-percent formula exactly. Attribute the unspent architecture to the 2019 amendment and its operational detail to the 2021 rules; the 2021 rules introduced the qualifying impact-assessment mandate, while the 2022 amendment revised the assessment-cost cap. The dated 27 May 2026 MCA CSR/SSE change is included only as a canonical, access-restricted supplementary fact: a Schedule VII route for eligible zero-coupon zero-principal instruments, capped at ten percent of annual CSR expenditure, with no change to s.135 thresholds or the two-percent base obligation. Keep shareholder and stakeholder models, agency problem, independent board/audit/disclosure/related-party controls and greenwashing explicit. SFIO was set up by Government Resolution in 2003 and has statutory basis under Companies Act, 2013, s.211; describe s.212(8) arrest power only with the material-based reason-to-believe condition. SOX s.806 is the civil remedy and s.1107 the criminal retaliation offence. FCPA includes anti-bribery and issuer accounting provisions. UNCAC binds States Parties; India signed on 9 December 2005 and ratified on 9 May 2011. The ADB-OECD Action Plan is distinct from the OECD Anti-Bribery Convention, to which India is not a party. Do not collapse treaty, cooperative, lender and extraterritorial mechanisms. Aid answers require ownership, conditionality, dependency and dual accountability. India is not party to the Refugee Convention or Protocol; use Article 21 carefully and treat Mohammad Salimullah as an interim order. War and arms answers should use sovereignty, distinction, proportionality, humanitarian neutrality and risk assessment without claiming India is an Arms Trade Treaty party. The 2024 technology-emissions case is Topic 13/22 primary and only a Topic 12 corporate-governance cross-link; the full 2024 Sneha case is the stronger Topic 12 private-institution anchor.

BASIC LEARNING SESSION

SESSION 1 - Ethics in business, corporate governance and CSR: the three-layer foundation

> **Subject:** Ethics | **Tier:** Must-Do (foundation) | **GS Paper:** GS-IV. **Core area:** Corporate governance, business/corporate ethics, CSR, and international anti-corruption/ethics instruments. **Grounded in:** 2nd ARC, 4th Report *Ethics in Governance* (2007) paras 1.14, 1.17, 3.7.9 (Naresh Chandra Committee) and Box 3.5 (Sarbanes-Oxley); UN Convention against Corruption (2003, India ratified 9 May 2011); Companies Act, 2013 (Section 135, CSR); audited GS-IV PYQs (2024-2025 Mains, business environmental-footprint case study). FACT: = source-grounded | ANALYSIS: = analytical inference | CURRENT: = current anchor. *Companion:* `advanced/12_Corporate-Governance-and-International-Ethics.md`.

1. Visual foundation

```
"BUSINESS ETHICS" (pejorative, narrow)  -->  "ETHICS IN BUSINESS" (ARC 1.17's preferred shift)
   ethics as external PR/compliance            ethics as how business is actually conducted,
   layer bolted onto profit-seeking             embedded in every decision, not an add-on
                     |
                     v
        CORPORATE GOVERNANCE = structures/processes ensuring
        a company is directed and controlled ethically and
        accountably (board oversight, audit, disclosure)
                     |
                     v
        CSR (Companies Act 2013, s.135) = a STATUTORY,
        ring-fenced expenditure obligation on qualifying companies -
        DISTINCT FROM, not identical to, corporate ethics
```

Core proposition: FACT: ARC 1.17 - governance ethics must extend "across the board," including a deliberate "paradigm shift from the pejorative 'business ethics' to 'ethics in business'" - ethics should describe *how* business is done throughout, not a separate reputational function.

SESSION 2 - Core definitions and the domestic-international integrity architecture

2. Essential definitions

Concept	Exam-ready meaning
FACT: **Ethics in business vs "business ethics"** (ARC 1.17)	ARC explicitly favours "ethics in business" - ethical conduct integrated into ordinary commercial decision-making - over "business ethics" as a bolt-on compliance department.
ANALYSIS: **Corporate ethics vs CSR**	Corporate ethics concerns the *means* by which a business operates (honest accounting, fair labour practices, non-bribery, environmental compliance); CSR under Section 135 is a statutory expenditure/transfer regime for qualifying companies, with discretion confined to lawful policy and project choices. It does not substitute for ethical core operations.
FACT: **Serious Fraud Office model** (ARC Box 3.2; ARC 3.7.9 citing the Naresh Chandra Committee, 2002)	A dedicated, multi-disciplinary investigative body (law, accountancy, investigation expertise) for complex corporate/financial fraud, modelled on the UK's Serious Fraud Office (constituted under the Criminal Justice Act 1987; operational from April 1988).
FACT: **UNCAC (UN Convention against Corruption, 2003)**	The principal global anti-corruption treaty, adopted by UNGA resolution 58/4 on 31 October 2003 and in force from 14 December 2005. It requires States Parties to take preventive, criminalisation, cooperation and asset-recovery measures; Articles 6 and 8 concern preventive bodies and public-official codes. **India signed on 9 December 2005 and ratified on 9 May 2011.**

SESSION 3 - How corporate governance and international ethics interlock with public administration

3. Mechanism: how corporate and international ethics interlock with public administration

1. **Regulatory design** (Companies Act, SEBI norms, competition law) sets external constraints within which corporate ethics must operate - but law alone cannot guarantee ethical conduct (mirroring the public-sector law-insufficiency point in `10`).

2. FACT: ARC Box 3.5 (printed alongside para 3.6.1) records that after the collapse of Enron and WorldCom the US Congress passed the Sarbanes-Oxley Act of 2002, "granting sweeping protection to whistleblowers in publicly traded companies", with retaliation punishable by up to 10 years' imprisonment - ANALYSIS: precisely, that ten-year penalty attaches to 18 U.S.C. §1513(e), inserted by SOX s.1107; SOX s.806 (18 U.S.C. §1514A) is the separate *civil* whistleblower remedy. This shows that corporate ethics failures trigger the same whistleblower-protection logic as public-sector corruption (see `19`).

3. FACT: ARC 3.7.9 records that the Naresh Chandra Committee recommended in 2002 a **Corporate Serious Fraud Office (CSFO) in the then Department of Company Affairs - a multi-disciplinary team that "not only uncovers the fraud, but is able to direct and supervise prosecutions", with a task force for each case and oversight by a committee headed by the Cabinet Secretary. ANALYSIS: The committee's formal name was the High Level Committee on Corporate Audit and Governance** (appointed 21 August 2002); ARC 3.7.9 refers to it as the committee on "Corporate Audit and Finance".

4. **International instruments** (UNCAC, OECD-ADB Anti-Corruption Action Plan, US Foreign Corrupt Practices Act) extend anti-corruption norms across borders, recognising that multinational business and cross-border bribery require coordinated, not merely national, response.

5. ANALYSIS: 2024 GS-IV Q7 (tech company, AI/data-centre GHG emissions) is primarily owned by Topics `13` and `22`; Topic `12` supplies a corporate-governance cross-link on stakeholder/shareholder duties, board accountability, core-business ethics and greenwashing.

SESSION 4 - Indian applications, institutional evolution and the compliance-theatre warning

4. Indian applications and examples

- FACT: Companies Act, 2013, Section 135 mandates CSR spending of at least 2% of average net profits of the three immediately preceding financial years for qualifying companies - ANALYSIS: this is a *statutory CSR mandate*, distinct from, and not a substitute for, the company's underlying ethical conduct in its core business (labour, environment, anti-bribery practices).
- FACT: ARC 1.14: the ADB-OECD Anti-Corruption Action Plan for Asia and the Pacific, "signed by the Government of India" (India endorsed it on 30 November 2001), commits to inter-regional cooperation on corruption prevention - relevant to any question on India's international anti-corruption commitments. ANALYSIS: Do not confuse it with the OECD Anti-Bribery Convention, 1997, to which India is **not** a party.
- ANALYSIS: A data-centre operator (as in 2024 GS-IV Q7) facing rising GHG emissions from AI-driven compute demand must balance shareholder-value obligations against environmental/ethical duties - a direct test of corporate-ethics-meets-environmental-ethics reasoning (see 13).

SESSION 5 - Prelims facts, close-option traps and answer differentiators

5. Must-Know Facts for Prelims

- FACT: UNCAC was adopted by the UN General Assembly on 31 October 2003 (resolution 58/4), opened for signature at Merida in December 2003 and entered into force on 14 December 2005. **India signed on 9 December 2005 and ratified on 9 May 2011.**
- FACT: The Sarbanes-Oxley Act (US, 2002) followed the Enron and WorldCom collapses; its s.806 created a civil whistleblower remedy (18 U.S.C. §1514A) and its s.1107 created the criminal retaliation offence (18 U.S.C. §1513(e)) carrying up to ten years' imprisonment.
- FACT: Companies Act, 2013, Section 135 applies to a company that, in the immediately preceding financial year, had net worth of Rs 500 crore or more, **or** turnover of Rs 1,000 crore or more, **or** net profit of Rs 5 crore or more; the spend is at least 2% of average net profits of the three immediately preceding financial years, on Schedule VII activities.
- FACT: The Naresh Chandra Committee (High Level Committee on Corporate Audit and Governance, 2002) recommended a Corporate Serious Fraud Office in India; the **Serious Fraud Investigation Office (SFIO)** now exists under Section 211 of the Companies Act, 2013 (notified by S.O. 2005(E) of 21 July 2015), with power of arrest under Section 212(8).

6. UPSC traps

- WRONG: CSR spending is the same as corporate ethics. -> CSR is a specific statutory/discretionary spend obligation; corporate ethics concerns the integrity of the company's core operations (accounting, labour, environment, anti-bribery) - a company can meet CSR requirements while still behaving unethically in its main business.
- WRONG: "Business ethics" and "ethics in business" mean the same thing to the ARC. -> ARC 1.17 explicitly prefers "ethics in business" precisely to reject the narrower, bolt-on connotation of "business ethics."
- WRONG: India has no international anti-corruption commitments. -> ARC 1.14-1.15 cites UNCAC, the ADB-OECD Anti-Corruption Action Plan, and World Bank anti-corruption funding conditions as commitments India has engaged with.

SESSION 6 - PYQ ownership, cross-links and core Mains theses

7. PYQ application

- ANALYSIS: 2024 GS-IV Q7 is a primary Topic 13/22 route and a Topic 12 corporate-governance cross-link on board responsibility, stakeholder claims and credible sustainability commitments.
- ANALYSIS: Any question on "global cooperation against corruption" should cite UNCAC and the ADB-OECD Action Plan by name (ARC 1.14).

8. Mains angles

- ANALYSIS: Always distinguish CSR from corporate ethics explicitly when a question conflates them - this single distinction is a reliable differentiator between average and strong answers.
- ANALYSIS: For corporate-environment dilemmas, apply the moral-theory triangulation from `08` (duty to shareholders vs consequence for environment vs virtue of sustainable, long-term stewardship).

> **Answer thesis:** Ethical business conduct must be embedded in ordinary commercial decisions ("ethics in business," not "business ethics" as compliance theatre), with CSR as a valuable but distinct, supplementary obligation, reinforced by both domestic (Companies Act, Serious Fraud Office-type bodies) and international (UNCAC, OECD-ADB) architecture.

SESSION 7 - Probable questions and exam entry points

9. Probable questions

- ANALYSIS: **Prelims:** Distinguish CSR under the Companies Act, 2013 from corporate ethics.
- ANALYSIS: **Mains (10 marks):** Why does the 2nd ARC prefer "ethics in business" over "business ethics"? Illustrate with an Indian example.
- ANALYSIS: **Mains (15 marks):** A technology company faces rising profitability alongside a sharp increase in emissions from AI-driven data centres. Recommend a strategic step balancing innovation, profitability and sustainability.

SESSION 8 - CSR doctrine: thresholds, unspent funds, impact assessment and limits

10. CSR full doctrine - architecture, thresholds and limits

> ANALYSIS: 2022 GS-IV Q6(b) (historical demand, routed here): "critically examine" CSR in the contemporary corporate world. FACT: 2023 GS-IV Q1(a) (historical demand, routed here): illustrate moral integrity and professional efficiency in corporate governance. ANALYSIS: **Ownership note on 2022 GS-IV Q6:** the question bundles two independent sub-parts - (a) policy measures to strengthen whistle-blower protection (substantively owned by `21_Protecting-Honest-Officials-and-Vigilance-Administration.md`, where the question-level routing ledger correctly lists the full Q6 row) and (b) CSR in the contemporary corporate world (substantively owned and answered **here**, in this section). A routing ledger that lists the whole Q6 row against one topic bundles both sub-parts for question-tracking purposes only; it does not mean that topic supplies the substantive content for both halves - this file remains the content owner for the Q6(b)/CSR demand regardless of which ledger row it is tracked under.

Business ethics vs corporate ethics vs CSR - three distinct layers

Layer	What it covers	Governing question
FACT: **"Ethics in business"** (ARC 1.17's preferred term)	How *every* ordinary commercial decision is made - accounting, labour treatment, procurement, pricing, environmental compliance	"Is this specific transaction/decision honest and lawful?"
ANALYSIS: **Corporate governance**	The structures ensuring the company is *directed and controlled* accountably - board composition, audit committee independence, related-party-transaction disclosure	"Is the company's internal decision-making structure itself trustworthy and accountable?"
FACT: **CSR (Companies Act, 2013, s.135)**	A *statutory, ring-fenced spend* obligation on qualifying companies, directed at Schedule VII social/environmental activities	"Has the company met its mandated minimum social spend?"

- ANALYSIS: **The core doctrinal point (repeatedly tested):** a company can satisfy CSR to the last rupee while its *core business* remains unethical (mis-selling, labour exploitation, environmental non-compliance in its main operations) - CSR spend is not, and was never designed to be, a proxy for core-business ethics.

Section 135 architecture, with threshold and status caution

- FACT: **Applicability threshold** (any one of three, in the immediately preceding financial year): net worth ≥ Rs 500 crore, **or** turnover ≥ Rs 1,000 crore, **or** net profit ≥ Rs 5 crore.
- FACT: **Spend obligation:** at least 2% of average net profit of the three immediately preceding financial years, on Schedule VII activities, through a board-approved CSR policy.
- FACT: **Unspent-fund architecture:** Section 135(5)-(6), inserted through the Companies (Amendment) Act, 2019 and brought into force from 22 January 2021, creates the transfer regime. Amount not linked to an ongoing project must go to a specified Schedule VII fund within six months of the financial year-end. Ongoing-project amount goes to an **Unspent CSR Account** within 30 days, must be spent within three financial years, and any residual amount must then be transferred to the specified fund within 30 days. The 2021 CSR Rules define and operationalise "ongoing project."
- FACT: **Impact assessment (mandate introduced by the Companies (CSR Policy) Amendment Rules, 2021; cost cap revised by the 2022 amendment): **the 2021 amendment first introduced the requirement that companies with average CSR obligation of Rs 10 crore or more in the three preceding financial years must conduct an independent impact assessment of their CSR projects (with a project outlay of Rs 1 crore or more, completed at least one year before the assessment) through an independent agency; the** 2022 amendment **did not create the impact-assessment mandate itself but revised the cap on the assessment's own permissible cost to 2% of total CSR expenditure for the year or Rs 50 lakh, whichever is** higher**. ANALYSIS: Do not attribute the impact-assessment requirement itself to the 2022 amendment - that amendment's contribution was the cost-cap revision, not the mandate's introduction.
- ANALYSIS: **Threshold/status caution:** CSR rules have been amended multiple times (2021, 2022) on implementing-agency eligibility, the CSR-2 reporting form, and unspent-fund mechanics - verify the current text of the Companies (CSR Policy) Rules, 2014 (as amended) and any MCA circular before citing a specific numeric threshold in a live/administrative context, since rule-level detail is more amendment-prone than the Section 135 statutory thresholds themselves.
- FACT: **Dated 2026 application:** MCA notifications G.S.R. 415(E) and 416(E) of 27 May 2026 added subscription to eligible zero-coupon zero-principal instruments on the Social Stock Exchange to Schedule VII and created a capped route under Rule 4A. This is an additional CSR route, not a change to Section 135's applicability thresholds or 2% base obligation.

Stakeholder responsibility and the greenwashing/box-ticking limit

- ANALYSIS: **Stakeholder theory (contrast with pure shareholder-primacy):** corporate governance ethics increasingly requires accounting for employees, consumers, local communities and the environment as legitimate stakeholders whose interests constrain profit-maximisation, not merely shareholders to whom fiduciary duty is owed narrowly.

- ANALYSIS: **Greenwashing/box-ticking risk:** a company can technically satisfy CSR's 2%-spend requirement

through low-impact, easily-measured activities (a one-off donation, a branded plantation drive) while its core operations continue high-emission or exploitative practices - this is precisely why the Companies (CSR Policy) Amendment Rules, 2021's impact-assessment requirement exists, and why "ethics in business" (Section 2/10 above) must be assessed *separately* from CSR compliance.

- ANALYSIS: **GS-IV-safe verdict:** CSR is a valuable, statutorily enforceable floor for social spend, but a

"critically examine CSR" question should explicitly flag its greenwashing/box-ticking vulnerability and argue that CSR compliance must be paired with, not substituted for, core-business ethics (accounting integrity, labour standards, environmental compliance) and governance-structure integrity (independent boards, related-party-transaction scrutiny).

SESSION 9 - War ethics, international aid and non-refoulement boundaries

11. War ethics and international aid ethics (historical demand)

> ANALYSIS: 2022 GS-IV Q5(a) (historical demand, routed here): illustrate the ethical issues in the Russia-Ukraine war. ANALYSIS: 2023 GS-IV Q1(b) (historical demand, routed here): comment on ethics in contemporary international aid. The Russia-Ukraine conflict began with Russia's full-scale invasion in **February 2022**; any present conflict, ceasefire, territorial, casualty or negotiation status must be independently re-verified immediately before use. The ethical framework below does not depend on a time-sensitive battlefield claim.

War ethics framework (Just War tradition, applied neutrally)

Principle	Meaning	Application to an active conflict
ANALYSIS: **Sovereignty**	A state's territorial integrity and political independence are protected under the UN Charter (Article 2(4)'s prohibition on the use of force against territorial integrity); a war of aggression against a sovereign state is the paradigm violation.	The core *jus ad bellum* (justice of resorting to war) question in any inter-state conflict - was force used in self-defence/UN-authorised action, or in violation of another state's sovereignty.
ANALYSIS: **Civilian protection (distinction)**	International humanitarian law (the Geneva Conventions and their Additional Protocols) requires distinguishing combatants from civilians and civilian infrastructure, and prohibits deliberately targeting the latter.	The most frequently invoked *jus in bello* (justice in the conduct of war) principle - strikes on civilian energy grids, hospitals or residential areas raise direct IHL concerns regardless of which side commits them.
ANALYSIS: **Proportionality**	Even a lawful military objective must not cause civilian harm excessive in relation to the concrete military advantage anticipated.	Used to assess whether a specific strike, even against a legitimate military target, was ethically/legally defensible given its collateral civilian cost.
ANALYSIS: **Humanitarian neutrality**	Humanitarian aid organisations (ICRC and others) operate on the principles of neutrality, impartiality and independence, treating all affected civilians without regard to which side they support.	Neutrality is what allows aid access to both sides of a conflict - politicising aid delivery (favouring one side's civilian population) undermines this access-enabling principle.

- ANALYSIS: **GS-IV-safe answer posture:** name the specific principle(s) engaged by the scenario in the

question (sovereignty breach, a specific IHL/proportionality concern, or a neutrality question) rather than issuing a general condemnation of "war is bad" - the exam rewards precise application of a named ethical/legal framework, and a balanced, evidence-anchored treatment over a one-sided political stance.

International aid ethics

Concept	Meaning	Ethical tension
ANALYSIS: **Donor conditionality**	Aid tied to policy conditions (governance reform, economic liberalisation, human-rights benchmarks) set by the donor state/institution.	Can improve accountability for aid use, but risks compromising the recipient state's sovereignty and self-determined development path - the central donor-ethics dilemma.
ANALYSIS: **Ownership**	The principle (echoing the 2005 Paris Declaration on Aid Effectiveness) that recipient countries should lead and own their own development strategies rather than have them dictated externally.	Genuine ownership requires donors to accept recipient-led priorities even where they diverge from donor preference - frequently honoured only partially in practice.
ANALYSIS: **Dependency risk**	Long-term aid reliance can weaken domestic institution-building and revenue mobilisation, or distort local markets (e.g., food-aid undercutting local agricultural prices).	Requires aid design (time-bound, capacity-building-oriented) that avoids substituting for, rather than building, domestic capacity.
ANALYSIS: **Accountability**	Both donor and recipient are accountable - donors for effective, non-corrupt disbursement; recipients for transparent utilisation.	Weak accountability on either side (donor-driven graft, recipient diversion of aid) undermines the ethical basis for continued aid.

- ANALYSIS: **Balanced verdict:** aid ethics requires holding donor conditionality's accountability benefit against its sovereignty cost, and valuing recipient ownership without ignoring legitimate donor concern for effective, non-corrupt utilisation - a one-sided "aid is always paternalistic" or "aid conditions are always justified" answer misses the genuine tension GS-IV is testing.
- ANALYSIS: **Non-refoulement boundary:** Article 33 of the Refugee Convention expresses the prohibition on returning a refugee to threatened persecution. India is not a party to the 1951 Convention or 1967 Protocol. In Indian answers, use *NHRC v. State of Arunachal Pradesh* for Article 21 protection of non-citizens and treat *Mohammad Salimullah* as an interim order, not a final settlement of customary-law non-refoulement.
- ANALYSIS: Cross-link: `10_Sources-of-Ethical-Guidance-Laws-Rules-Conscience.md` treats sovereignty-vs-intervention tensions at the individual-conscience level (Snowden); this file's contribution is the state/institutional-level international-ethics register.

SESSION 10 - Evidence units, directive decoding, case architecture and final synthesis

12. Selectable named evidence/application units

> Pick 1-2 units per answer; each follows claim -> named evidence/example -> significance -> limitation.

1. *Claim:* CSR compliance does not guarantee core-business ethics. *Evidence:* Section 10's business-ethics/CSR/corporate-governance three-layer table. *Significance:* prevents a common scoring error of treating CSR spend as a proxy for ethical conduct. *Limitation:* the distinction, while doctrinally clean, still requires a concrete named example in the answer to earn full marks.
2. *Claim:* Impact assessment is the institutional response to CSR's greenwashing risk. *Evidence:* the Companies (CSR Policy) Amendment Rules, 2021's mandatory impact assessment for ≥ Rs 10 crore CSR obligors, with its assessment-cost cap revised by the 2022 amendment (Section 10). *Significance:* shows a real regulatory correction, not just a theoretical caution. *Limitation:* impact assessment applies only above the Rs 10 crore threshold - smaller CSR obligors remain unaudited for actual social impact.
3. *Claim:* Neutrality is the precondition for humanitarian access in an active conflict. *Evidence:*

ICRC's neutrality-impartiality-independence operating principles (Section 11). *Significance:* explains why politicised aid delivery undermines its own access. *Limitation:* neutrality can be exploited by a belligerent party to shield itself from accountability if applied without any accompanying human-rights monitoring.

4. *Claim:* Donor conditionality trades sovereignty for accountability. *Evidence:* the Paris

Declaration on Aid Effectiveness's "ownership" principle set against typical governance-linked aid conditions (Section 11). *Significance:* gives a named framework for balancing the two. *Limitation:* "ownership" can be invoked by a recipient government to resist legitimate anti-corruption conditions, not only illegitimate donor overreach.

5. *Claim:* The Serious Fraud Investigation Office institutionalises the Naresh Chandra Committee's

2002 recommendation. *Evidence:* SFIO under Companies Act s.211-212 (Section 5 above). *Significance:* shows a two-decade lag between recommendation and institutional realisation, a useful "reform takes time but does arrive" evidence point. *Limitation:* SFIO's arrest power (s.212(8)) has faced judicial scrutiny on procedural safeguards in specific cases - verify current case law before citing a blanket claim of unchecked power.

13. Executable directive decoding and answer architecture

Directive word	What is tested	Structural move
Critically examine	Strength and limitation both required	State the mechanism/claim -> evidence for -> evidence/limitation against -> weighted verdict
Illustrate/Comment	A precise example doing the analytical work	Define the concept -> named example -> what it demonstrates -> one limitation
Suggest a strategic step	An implementable, balanced recommendation	Name the competing objectives -> theory triangulation (`08`) -> one concrete measure -> its safeguard

10-mark architecture (~150 words): name the concept (CSR/war-ethics principle/aid-ethics concept) precisely -> mechanism -> one named example (Section 12) -> one limitation -> one-line conclusion.

20-mark case-study architecture: This file does **not** carry its own abbreviated case-study format. Every GS-IV Section-B (20-mark) case study must be built on the full, controlling eight-element architecture in `22_Case-Study-Method-and-Answer-Architecture.md` Sec. 1 - facts, stakeholders, constraints, **at least three** realistic options (never cap at two, and steelman the single strongest objection to the chosen decision, `22` Sec. 6), named ethical evaluation (the six-check framework), decision, implementation/communication, and residual-risk mitigation. This file's corporate-governance/international-ethics theory triangulation (`08`) informs Element 5's ethical evaluation only, guarding specifically against greenwashing/box-ticking or sovereignty-cost dilution - it is not itself a rival 20-mark format.

Counterpoint and reasoned verdict (template): "[Named mechanism] is a genuine safeguard against [X], but it does not by itself guarantee [Y]; the balanced verdict pairs it with [named complementary measure/principle]."

14. Study links

- FACT: Advanced companion: `advanced/12_Corporate-Governance-and-International-Ethics.md`.
- FACT: `13_Emerging-Ethics-Technology-AI-and-Environment.md` - the AI/environment case in full depth.
- FACT: `19_Corruption-Legal-Framework.md` - whistleblower-protection parallels (public vs corporate).
- FACT: `21_Protecting-Honest-Officials-and-Vigilance-Administration.md` - the substantive owner of

2022 GS-IV Q6(a)'s whistle-blower-protection demand (Section 10's ownership note); this file owns Q6(b)'s CSR demand from the same question.

- FACT: `08_Moral-Theories-Deontology-Consequentialism-Virtue-Ethics.md` - theory triangulation for

business dilemmas.

- FACT: `10_Sources-of-Ethical-Guidance-Laws-Rules-Conscience.md` - the individual-conscience register of sovereignty/disclosure tension (Snowden).

Recent PYQ Integration (2024-2025)

> **Status:** 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2024-2025.md`.

- **Years represented:** 2024, 2025
- **Paper(s):** GS-IV
- **Routed question demands:** 2

Semantic table split - Year

- **Year:** 2024
- **Paper:** GS-IV
- **Q:** 10
- **PYQ demand (neutral rendering):** Case study: Sneha, a senior manager at a hospital chain
- **Directive / format:** Section B case study · 20 marks · 250 words
- **Source status:** Routed to owning topic
- **Owner requirement:** Apply stakeholders, dilemmas, options, justification, implementation and safeguards.
- **Year:** 2025
- **Paper:** GS-IV
- **Q:** 2
- **PYQ demand (neutral rendering):** (a) Clausewitz - war as diplomacy by other means; (b) ethics of environmental clearance in sensitive border areas
- **Directive / format:** Section A theory · 10 + 10 marks · 150 words each
- **Source status:** Q2(a) owned here; Q2(b) owned by Topic 13
- **Owner requirement:** Prepare the war-ethics demand here and cross-link the environmental-clearance demand to Topic 13.

What this owner must now support

- Case study: Sneha, a senior manager at a hospital chain
- Q2(a): Clausewitz - war as diplomacy by other means; Q2(b) remains a Topic 13 environmental-ethics demand

> This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`.

- **Years represented:** 2019, 2020, 2021, 2022, 2023
- **Paper(s):** GS-IV
- **Routed question demands:** 11

Semantic table split - Year

- **Year:** 2019
- **Paper:** GS-IV
- **Q:** 9
- **PYQ demand (neutral rendering):** Apparel company - marketing executive sexually harasses woman employee - company offers money to withdraw FIR; identify ethical issues and options available to woman employee
- **Directive / format:** Case study · 20 marks · 250 words

- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2020
- **Paper:** GS-IV
- **Q:** 3
- **PYQ demand (neutral rendering):** (a) most relevant teachings of Buddha today and why; (b) will to power tamed by rationality and moral duty - examine in context of international relations
- **Directive / format:** Discuss / Examine · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2020
- **Paper:** GS-IV
- **Q:** 8
- **PYQ demand (neutral rendering):** BML Chairman asked to expand ATGM production for export to friendly nation - (a) ethical issues for a responsible arms-exporting nation; (b) five ethical factors influencing arms sale decision
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2020
- **Paper:** GS-IV
- **Q:** 11
- **PYQ demand (neutral rendering):** Anil APW factory in backward Parmal district: CSR-driven development of Noora village - critically analyse ethical issues; assess APW as role model for backward area development
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2021
- **Paper:** GS-IV
- **Q:** 5
- **PYQ demand (neutral rendering):** (a) refugees must not be returned to face persecution - examine ethical dimensions violated by nations claiming to be democratic; (b) impartiality and non-partisanship as indispensable civil servant qualities
- **Directive / format:** Examine / Discuss · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2021
- **Paper:** GS-IV
- **Q:** 11
- **PYQ demand (neutral rendering):** food company sells inferior products domestically and dumps rejected export products in Indian market - (a) authority action; (b) company remedy to restore reputation; (c) ethical dilemma
- **Directive / format:** Case study · 20 marks · 250 words

- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 5
- **PYQ demand (neutral rendering):** (a) ethical issues in Russia-Ukraine war; (b) short notes on conflict of interest, probity in public life, challenges of digitalization, devotion to duty
- **Directive / format:** Illustrate (a); Short notes (b) · 10 + 10 marks · 150 words (a); 30 words each (b)
- **Source status:** Routed to owning Ethics topic; stem verified against official scan; OCR artifact resolved
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 6
- **PYQ demand (neutral rendering):** (a) policy measures to strengthen whistle-blower protection mechanism; (b) corporate social responsibility in contemporary corporate world
- **Directive / format:** Suggest (a); Critically examine (b) · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 7
- **PYQ demand (neutral rendering):** Case on a marketing VP offered rival firm's defence tender documents in exchange for employment
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Apply stakeholders, dilemmas, options, justification, implementation and safeguards.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 10
- **PYQ demand (neutral rendering):** Case on a quality inspection officer pressured to clear an export-rejected defective consignment for domestic market
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Apply stakeholders, dilemmas, options, justification, implementation and safeguards.
- **Year:** 2023
- **Paper:** GS-IV
- **Q:** 1
- **PYQ demand (neutral rendering):** (a) moral integrity and professional efficiency in corporate governance; (b) ethics in contemporary international aid
- **Directive / format:** Illustrate (a); Comment (b) · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Apparel company - marketing executive sexually harasses woman employee - company offers money to withdraw FIR; identify ethical issues and options available to woman employee
- (a) most relevant teachings of Buddha today and why; (b) will to power tamed by rationality and moral duty - examine in context of international relations
- BML Chairman asked to expand ATGM production for export to friendly nation - (a) ethical issues for a responsible arms-exporting nation; (b) five ethical factors influencing arms sale decision
- Anil APW factory in backward Parmal district: CSR-driven development of Noora village - critically analyse ethical issues; assess APW as role model for backward area development
- (a) refugees must not be returned to face persecution - examine ethical dimensions violated by nations claiming to be democratic; (b) impartiality and non-partisanship as indispensable civil servant qualities
- food company sells inferior products domestically and dumps rejected export products in Indian market - (a) authority action; (b) company remedy to restore reputation; (c) ethical dilemma
- (a) ethical issues in Russia-Ukraine war; (b) short notes on conflict of interest, probity in public life, challenges of digitalization, devotion to duty
- (a) policy measures to strengthen whistle-blower protection mechanism; (b) corporate social responsibility in contemporary corporate world
- Case on a marketing VP offered rival firm's defence tender documents in exchange for employment
- Case on a quality inspection officer pressured to clear an export-rejected defective consignment for domestic market
- (a) moral integrity and professional efficiency in corporate governance; (b) ethics in contemporary international aid

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

BASIC MCQS / REMEDIATION

MCQ 1

An Indian manufacturer runs annual ethics workshops, yet sales incentives reward concealment of product defects. Which principle exposes the weakness of this arrangement? Which source-grounded ethical principle most precisely explains the case?

A. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

B. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

C. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

D. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

Answer: A

Explanation: Ethics in business rejects a bolt-on ethics department is the controlling principle. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 2

A listed company gives its ethics officer independent access to the board and escalation power over high-risk transactions. Which conception of business ethics is being institutionalised? Which source-grounded ethical principle most precisely explains the case?

A. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

B. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

C. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

D. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

Answer: B

Explanation: Ethics in business rejects a bolt-on ethics department is the controlling principle. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 3

A hospital chain forms an independent procurement committee, records recusals and discloses evaluation criteria. Which institutional layer is primarily being strengthened? Which source-grounded ethical principle most precisely explains the case?

A. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

B. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

C. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

D. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

Answer: C

Explanation: Corporate governance concerns accountable direction and control is the controlling principle. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 4

A promoter-controlled company makes major related-party purchases without independent review. Which ethical architecture is deficient even before the transaction's price is assessed? Which source-grounded ethical principle most precisely explains the case?

A. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

B. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

C. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

D. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

Answer: D

Explanation: Corporate governance concerns accountable direction and control is the controlling principle. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 5

A food company funds village clinics while knowingly selling export-rejected goods domestically. Which ethical layer remains violated despite the social spending? Which source-grounded ethical principle most precisely explains the case?

A. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

B. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

C. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

D. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

Answer: A

Explanation: Core-business ethics concerns the means of earning profit is the controlling principle. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 6

A supplier refuses confidential rival-bid data although winning the tender would preserve jobs. Which dimension of corporate conduct controls the decision? Which source-grounded ethical principle most precisely explains the case?

A. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

B. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

C. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

D. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

Answer: B

Explanation: Core-business ethics concerns the means of earning profit is the controlling principle. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 7

A company meets its mandated social-spend amount but under-reports emissions from its factories. Which distinction prevents the spend from proving overall ethical performance? Which source-grounded ethical principle most precisely explains the case?

A. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

B. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

C. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

D. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

Answer: C

Explanation: CSR is distinct from governance structure and core conduct is the controlling principle. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 8

A board treats CSR as optional charity after the company crosses the statutory threshold. Which feature of the Indian framework corrects this claim? Which source-grounded ethical principle most precisely explains the case?

A. Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.

B. Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.

C. The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.

D. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.

Answer: D

Explanation: CSR is distinct from governance structure and core conduct is the controlling principle. CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 9

An Indian company has net profit above Rs 5 crore but falls below the net-worth and turnover figures. How should its board assess CSR applicability? Which source-grounded ethical principle most precisely explains the case?

A. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

B. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

C. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

D. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

Answer: A

Explanation: CSR applicability uses three alternative financial thresholds is the controlling principle. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 10

A finance officer adds all three statutory thresholds and says every one must be crossed. Which close-option error has been made? Which source-grounded ethical principle most precisely explains the case?

A. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

B. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

C. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

D. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

Answer: B

Explanation: CSR applicability uses three alternative financial thresholds is the controlling principle. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 11

A newly qualifying company calculates its obligation as two percent of current turnover. Which statutory calculation has it confused? Which source-grounded ethical principle most precisely explains the case?

A. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

B. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

C. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

D. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

Answer: C

Explanation: The CSR base obligation is a two-percent formula is the controlling principle. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 12

A board says compliance is discretionary because it may choose among social projects. Which distinction between project choice and minimum obligation is decisive? Which source-grounded ethical principle most precisely explains the case?

A. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

B. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

C. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

D. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

Answer: D

Explanation: The CSR base obligation is a two-percent formula is the controlling principle. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 13

A company leaves money for an approved multi-year sanitation project in its ordinary bank account after year-end. Which transfer distinction has it ignored? Which source-grounded ethical principle most precisely explains the case?

A. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

B. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

C. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

D. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

Answer: A

Explanation: Unspent CSR follows different ongoing and non-ongoing routes is the controlling principle. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 14

A board treats every unspent amount identically although one project is ongoing and another never began. Which statutory architecture should guide it? Which source-grounded ethical principle most precisely explains the case?

A. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

B. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

C. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

D. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

Answer: B

Explanation: Unspent CSR follows different ongoing and non-ongoing routes is the controlling principle. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 15

A compliance note attributes creation of the impact-assessment mandate to the 2022 amendment. Which chronology should the legal team restore? Which source-grounded ethical principle most precisely explains the case?

A. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

B. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

C. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

D. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

Answer: C

Explanation: CSR impact assessment has a threshold and a separate cost cap is the controlling principle. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 16

A large CSR obligor evaluates only spending receipts and never tests completed project outcomes. Which regulatory mechanism addresses this box-ticking risk? Which source-grounded ethical principle most precisely explains the case?

A. A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.

B. The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.

C. Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.

D. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.

Answer: D

Explanation: CSR impact assessment has a threshold and a separate cost cap is the controlling principle. The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 17

Managers hide a loss-making related-party purchase from dispersed shareholders to protect bonuses. Which foundational governance problem is illustrated? Which source-grounded ethical principle most precisely explains the case?

A. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

B. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

C. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

D. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

Answer: A

Explanation: The agency problem requires independent oversight is the controlling principle. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 18

A board creates independent audit review and requires material-interest declarations by executives. Which risk is this design intended to reduce? Which source-grounded ethical principle most precisely explains the case?

A. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

B. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

C. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

D. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

Answer: B

Explanation: The agency problem requires independent oversight is the controlling principle. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 19

A data-centre company considers only quarterly returns when deciding whether to honour a verified emissions-reduction commitment. Which broader ethical model is missing? Which source-grounded ethical principle most precisely explains the case?

A. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

B. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

C. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

D. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

Answer: C

Explanation: Stakeholder duties extend beyond shareholder returns is the controlling principle. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 20

A hospital procurement decision weighs patient safety, employees, competing vendors and financial sustainability, not merely promoter preference. Which model does this reflect? Which source-grounded ethical principle most precisely explains the case?

A. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

B. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

C. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

D. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

Answer: D

Explanation: Stakeholder duties extend beyond shareholder returns is the controlling principle. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 21

A complex company fraud combines accounting manipulation, shell entities and digital evidence. Which institutional design responds to fragmented investigation? Which source-grounded ethical principle most precisely explains the case?

A. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

B. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

C. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

D. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

Answer: A

Explanation: SFIO is a statutory multidisciplinary fraud-investigation body is the controlling principle. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 22

An official says SFIO may arrest anyone merely because an inquiry has opened. Which bounded statutory formulation corrects the claim? Which source-grounded ethical principle most precisely explains the case?

A. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

B. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

C. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

D. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

Answer: B

Explanation: SFIO is a statutory multidisciplinary fraud-investigation body is the controlling principle. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 23

A training note says the ten-year criminal punishment is contained in the employee's civil-remedy provision. Which legal distinction must be restored? Which source-grounded ethical principle most precisely explains the case?

A. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

B. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

C. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

D. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

Answer: C

Explanation: SOX civil protection and criminal retaliation are separate is the controlling principle. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 24

A listed company's employee seeks reinstatement after retaliation, while prosecutors assess a separate retaliatory offence. Which two-track architecture is illustrated? Which source-grounded ethical principle most precisely explains the case?

A. A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.

B. India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.

C. Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.

D. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

Answer: D

Explanation: SOX civil protection and criminal retaliation are separate is the controlling principle. Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 25

An answer describes UNCAC as a voluntary corporate code directly prosecuting companies worldwide. Which treaty characteristic corrects the statement? Which source-grounded ethical principle most precisely explains the case?

A. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

B. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

C. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

D. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

Answer: A

Explanation: UNCAC is a treaty framework for States Parties is the controlling principle. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 26

Indian officials seek cooperation in tracing cross-border corruption proceeds. Which global framework supplies the treaty-level architecture? Which source-grounded ethical principle most precisely explains the case?

A. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

B. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

C. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

D. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

Answer: B

Explanation: UNCAC is a treaty framework for States Parties is the controlling principle. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 27

A policy brief infers that Indian participation in an Asia-Pacific action plan makes India party to the OECD Anti-Bribery Convention. Which distinction defeats the inference? Which source-grounded ethical principle most precisely explains the case?

A. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

B. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

C. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

D. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

Answer: C

Explanation: The ADB-OECD Action Plan is not the OECD Anti-Bribery Convention is the controlling principle. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 28

Officials compare peer cooperation in Asia with binding convention membership. Which status difference must remain explicit? Which source-grounded ethical principle most precisely explains the case?

A. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

B. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

C. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

D. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

Answer: D

Explanation: The ADB-OECD Action Plan is not the OECD Anti-Bribery Convention is the controlling principle. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 29

A multinational records a consultant payment inaccurately even though bribery cannot yet be proved. Which additional FCPA compliance limb remains relevant? Which source-grounded ethical principle most precisely explains the case?

A. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

B. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

C. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

D. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

Answer: A

Explanation: FCPA combines anti-bribery and issuer accounting rules is the controlling principle. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 30

A compliance officer describes the FCPA only as a ban on receiving bribes. Which two errors does the official framework reveal? Which source-grounded ethical principle most precisely explains the case?

A. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

B. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

C. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

D. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

Answer: B

Explanation: FCPA combines anti-bribery and issuer accounting rules is the controlling principle. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 31

A ministry memo calls a World Bank funding condition legally identical to UNCAC ratification. Which analytical distinction is missing? Which source-grounded ethical principle most precisely explains the case?

A. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

B. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

C. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

D. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

Answer: C

Explanation: International anti-corruption mechanisms use distinct logics is the controlling principle. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 32

An Indian company maps treaty duties, lender requirements and foreign anti-bribery exposure separately before bidding abroad. Which layered approach is demonstrated? Which source-grounded ethical principle most precisely explains the case?

A. India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.

B. The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.

C. UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.

D. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.

Answer: D

Explanation: International anti-corruption mechanisms use distinct logics is the controlling principle. UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 33

A donor designs a rural-health programme without consulting the recipient government or affected communities. Which aid-effectiveness principle is weakened? Which source-grounded ethical principle most precisely explains the case?

A. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

B. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

C. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

D. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

Answer: A

Explanation: Aid ethics requires recipient ownership is the controlling principle. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 34

A recipient-led plan is jointly monitored by donors without dictating every policy choice. Which ethical balance is being respected? Which source-grounded ethical principle most precisely explains the case?

A. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

B. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

C. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

D. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

Answer: B

Explanation: Aid ethics requires recipient ownership is the controlling principle. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 35

A lender conditions disaster relief on unrelated commercial concessions. Which ethical concern arises even if the recipient urgently needs funds? Which source-grounded ethical principle most precisely explains the case?

A. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

B. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

C. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

D. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

Answer: C

Explanation: Aid conditionality trades accountability against sovereignty is the controlling principle. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 36

A donor requires audited use of health funds and publishes the condition before disbursement. Which qualified defence of conditionality is available? Which source-grounded ethical principle most precisely explains the case?

A. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

B. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

C. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

D. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

Answer: D

Explanation: Aid conditionality trades accountability against sovereignty is the controlling principle. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 37

Imported free grain repeatedly undercuts local farmers and prevents domestic procurement systems from developing. Which long-term aid risk is illustrated? Which source-grounded ethical principle most precisely explains the case?

A. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

B. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

C. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

D. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

Answer: A

Explanation: Aid creates dual accountability and dependency risks is the controlling principle. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 38

A health grant funds local capacity, publishes expenditure and transfers management over time. Which two ethical duties are addressed? Which source-grounded ethical principle most precisely explains the case?

A. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

B. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

C. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

D. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

Answer: B

Explanation: Aid creates dual accountability and dependency risks is the controlling principle. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 39

An officer says India's non-membership makes the risk of persecution ethically irrelevant. Which rights-sensitive qualification should guide review? Which source-grounded ethical principle most precisely explains the case?

A. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

B. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

C. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

D. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

Answer: C

Explanation: Non-refoulement requires a carefully qualified Indian answer is the controlling principle. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 40

A legal brief presents an interim Supreme Court order as a final universal ruling on customary non-refoulement. Which boundary has been crossed? Which source-grounded ethical principle most precisely explains the case?

A. Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.

B. Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.

C. Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.

D. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.

Answer: D

Explanation: Non-refoulement requires a carefully qualified Indian answer is the controlling principle. Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 41

A commentator argues that a claimed just cause permits indiscriminate attacks on civilians. Which two-level war-ethics distinction rejects the claim? Which source-grounded ethical principle most precisely explains the case?

A. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

B. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

C. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

D. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

Answer: A

Explanation: War ethics separates resort to force from conduct in war is the controlling principle. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 42

An aid organisation serves civilians on both sides while avoiding support for military objectives. Which principle enables its access? Which source-grounded ethical principle most precisely explains the case?

A. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

B. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

C. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

D. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

Answer: B

Explanation: War ethics separates resort to force from conduct in war is the controlling principle. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 43

An Indian manufacturer is asked to export missiles to a friendly government facing credible diversion concerns. Which ethical process should precede approval? Which source-grounded ethical principle most precisely explains the case?

A. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

B. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

C. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

D. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

Answer: C

Explanation: Responsible arms export requires risk assessment is the controlling principle. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 44

A board assumes India is legally bound as an Arms Trade Treaty party. Which caution must accompany the ethical risk assessment? Which source-grounded ethical principle most precisely explains the case?

A. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

B. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

C. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

D. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

Answer: D

Explanation: Responsible arms export requires risk assessment is the controlling principle. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 45

Sneha's brother bids to supply equipment to the hospital committee she chairs. Which response best protects patients, fair competition and her professional integrity? Which source-grounded ethical principle most precisely explains the case?

A. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

B. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

C. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

D. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

Answer: A

Explanation: Conflict disclosure normally requires recusal and independent evaluation is the controlling principle. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 46

A manager privately promises to be fair but continues scoring a sibling's bid. Which governance safeguard remains missing? Which source-grounded ethical principle most precisely explains the case?

A. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

B. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

C. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

D. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

Answer: B

Explanation: Conflict disclosure normally requires recusal and independent evaluation is the controlling principle. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 47

A shoe company pressures its inspection team to clear an export-rejected consignment for domestic sale. Which ethical floor controls the inspector's response? Which source-grounded ethical principle most precisely explains the case?

A. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

B. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

C. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

D. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

Answer: C

Explanation: Product safety cannot be downgraded for domestic consumers is the controlling principle. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

MCQ 48

A food company discovers domestic products violate approved health standards. Which restoration approach should accompany regulatory action? Which source-grounded ethical principle most precisely explains the case?

A. A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.

B. Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.

C. Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.

D. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

Answer: D

Explanation: Product safety cannot be downgraded for domestic consumers is the controlling principle. Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required. The distractors are related propositions, but they do not identify the decisive mechanism in this case.

PYQS AND ANSWER PRACTICE

Solved PYQ 1 - 2020 - 20 marks

Question: GS-IV Q8: The Chairman of Bharat Missiles Ltd (BML) was watching a program on TV wherein the Prime Minister was addressing the nation on the necessity of developing a self-reliant India. He subconsciously nodded in agreement and smiled to himself as he mentally reviewed BML's journey in the past two decades. BML had admirably progressed from producing first generation anti-tank guided missiles (ATGMs) to designing and producing state of the art ATGM weapon systems that would be the envy of any army. He sighed in reconciliation with his assumptions that the government would probably not alter the status quo of a ban on export of military weaponry. To his surprise, the very next day he got a telephone call from the Director General, Ministry of Defence, asking him to discuss the modalities of increasing BML production of ATGMs as there is a possibility of exporting the same to a friendly foreign country. The Director General wanted the Chairman to discuss the details with his staff at Delhi next week. Two days later, at a press conference, the Defence Minister stated that he aims to double the current weapons export levels within five years. This would give an impetus to financing the development and manufacture of indigenous weapons in the country. He also stated that all indigenous arms manufacturing nations have a very good record of international arms trade. As Chairman of BML, what are your views on the following points? (a) As an arms exporter of a responsible nation like India, what are the ethical issues involved in arms trade? (b) List five ethical factors that would influence the decision to sell arms to foreign governments. (Answer in 250 words)

Source / ownership: Exact full case and both demands verified against books\more_previous_papers\Gen_St_P4.pdf, page 6. Topic 12 owns the international-ethics and corporate-decision route. India must not be described as an Arms Trade Treaty party; use ATT-style risk factors only as an ethical benchmark.

Model solution

BML's decision implicates national security, legitimate self-defence, economic self-reliance and employment, but also civilian life, regional stability and India's international reputation. Arms are not ordinary exports: foreseeable misuse can make the supplier morally connected to harm even where the immediate buyer is a friendly government.

Five decisive factors are: first, the recipient's record of compliance with international humanitarian law and human rights; second, the probability of diversion to non-state actors or unauthorised users; third, the risk that the transfer will intensify aggression, repression or a regional arms race; fourth, the stated defensive need, proportionality and strategic legitimacy of the proposed end use; and fifth, enforceable end-use monitoring, suspension and accountability arrangements. Additional concerns include secrecy, corruption in procurement, technology leakage and opportunity cost.

The Chairman should therefore seek an inter-agency, evidence-based risk assessment rather than treat friendship or export revenue as sufficient. The contract should identify end users, prohibit unauthorised re-transfer, permit verification and provide suspension if credible misuse emerges. Commercial confidentiality cannot hide the criteria used by competent public authorities.

India is not an Arms Trade Treaty party, so an answer should not claim treaty membership. Yet distinction, proportionality, civilian protection and responsible risk assessment remain compelling ethical standards. A justified export is one whose defensive and public benefits survive a serious foreseeable-harm test. Periodic post-export review should test diversion indicators and permit a credible suspension decision rather than make monitoring a one-time contractual formality.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 2 - 2020 - 20 marks

Question: GS-IV Q11: Parmal is a small but underdeveloped district. It has rocky terrain that is not suitable for agriculture, though some subsistence agriculture is being done on small plots of land. The area receives adequate rainfall and has an irrigation canal flowing through it. Amria, its administrative centre, is a medium sized town. It houses a large district hospital, an Industrial Training Institute and some privately owned skill training centres. It has all the facilities of a district headquarters. A trunk railway line passes approximately 50 kilometres from Amria. Its poor connectivity is a major reason for the absence of any major industry therein. The state government offers a 10 years tax holiday as an incentive to new industry. In 2010 Anil, an industrialist, decided to take benefits to set up Amria Plastic Works (APW) in Noora village, about 20 km from Amria. While the factory was being built, Anil hired the required key labour and got them trained at the skill training centres at Amria. This act of his made the key personnel very loyal to APW. APW started production in 2011 with the labour drawn fully from Noora village. The villagers were very happy to get employment near their homes and were motivated by the key personnel to meet the production targets with high quality. APW started making large profits, a sizeable portion of which was used to improve the quality of life in Noora. By 2016, Noora could boast of a greener village and a renovated village temple. Anil liaised with the local MLA to increase the frequency of the bus services to Amria. The government also opened a primary health care centre and primary school at Noora in buildings constructed by APW. APW used its CSR funds to set up women's self-help groups, subsidize primary education to the village children and procure an ambulance for use by its employees and the needy. In 2019, there was a minor fire in APW. It was quickly extinguished as fire safety protocols were in place in the factory. Investigations revealed that the factory had been using electricity in excess of its authorized capacity. This was soon rectified. The next year, due to a nationwide lockdown, the requirement of production fell for four months. Anil decided that all employees would be paid regularly. He employed them to plant trees and improve the village habitat. APW had developed a reputation of high quality production and a motivated workforce. Critically analyse the story of APW and state the ethical issues involved. Do you consider APW as a role model for development of backward areas? Give reasons. (Answer in 250 words)

Source / ownership: Exact full case and both demands verified against books\more_previous_papers\Gen_St_P4.pdf, page 10. Topic 12 owns the CSR/core-business-ethics distinction and stakeholder analysis.

Model solution

APW demonstrates an ethically valuable local-development model. It created nearby employment, invested in skills, retained workers during the lockdown, supported women's groups, education, health access, transport and environmental improvement. Fire-safety protocols worked, and the company corrected excess electricity use after investigation. These actions strengthened human capabilities and reciprocal trust rather than treating Noora merely as a labour pool.

However, critical appraisal must separate outcomes, motives and governance. Loyalty generated by dependence can suppress worker voice. Liaison with the MLA should remain transparent and must not become preferential access. Temple renovation may be socially welcomed but CSR choices should be inclusive, needs-based and consistent with lawful Schedule VII purposes. Excess electricity use shows that community expenditure cannot substitute for compliance in core operations. Plastic production also requires credible waste and environmental safeguards, which the facts do not establish.

APW is therefore a qualified role model, not a perfect template. Replication should retain local hiring, skill formation, wage continuity and community partnership while adding independent needs assessment, worker grievance channels, environmental monitoring, transparent CSR disclosure and periodic impact evaluation. Government must still provide public services and regulate the factory; corporate benevolence cannot replace state responsibility.

The ethical lesson is stakeholder governance: enterprise success can support backward-area development, but legitimacy depends on lawful core conduct, inclusive participation and durable institutions, not only visible CSR spending. Community consent and published outcome indicators would also reduce the risk that corporate priorities quietly replace locally identified needs.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 3 - 2021 - 10 marks

Question: GS-IV Q5(a): "Refugees should not be turned back to the country where they would face persecution or human right violation." Examine the statement with reference to ethical dimension being violated by the nation claiming to be democratic with open society. (Answer in 150 words)

Source / ownership: Exact isolated subpart verified against books\more_previous_papers\QP-CSM-21-GENSTUDIESPAPER-IV-110122.pdf, page 3. Topic 12 owns non-refoulement as international ethics; India is not party to the 1951 Refugee Convention or 1967 Protocol, and Mohammad Salimullah was an interim order.

Model solution

Returning a person to a place where life or freedom faces persecution violates dignity, compassion, the right to life and the democratic claim that state power is limited by human rights. Refugee Convention Article 33 expresses non-refoulement for States Parties. Ethically, a democratic open society should not exploit a vulnerable person's lack of citizenship to expose her to foreseeable grave harm.

The duty is not absolute naivety. States may verify identity, assess security risk individually and use fair procedures against genuine threats. But collective expulsion, stereotyping or return without hearing treats persons as instruments of domestic politics. Temporary protection, access to UNHCR processes and reasoned review can balance security with humanity.

India is not party to the 1951 Convention or 1967 Protocol; Indian answers should therefore add Article 21 protection of non-citizens and avoid overstating unsettled customary-law conclusions. NHRC v. State of Arunachal Pradesh supports protection of life and liberty, while Mohammad Salimullah should be described only as an interim-order boundary. Democratic legitimacy is tested most clearly when fear does not erase due process.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 4 - 2021 - 20 marks

Question: GS-IV Q11: A reputed food product company based in India developed a food product for the international market and started exporting the same after getting necessary approvals. The company announced this achievement and also indicated that soon the product will be made available for the domestic consumers with almost same quality and health benefits. Accordingly, the company got its product approved by the domestic competent authority and launched the product in Indian market. The company could increase its market share over a period of time and earned substantial profit both domestically and internationally. However, the random sample test conducted by inspecting team found the product being sold domestically in variance with the approval obtained from the competent authority. On further investigation, it was also discovered that the food company was not only selling products which were not meeting the health standard of the country but also selling the rejected export products in the domestic market. This episode adversely affected the reputation and profitability of the food company. (a) What action do you visualize should be taken by the competent authority against the food company for violating the laid down domestic food standard and selling rejected export products in domestic market? (b) What course of action is available with the food company to resolve the crisis and bring back its lost reputation? (c) Examine the ethical dilemma involved in the case. (Answer in 250 words)

Source / ownership: Exact full case and all three demands verified against books\more_previous_papers\QP-CSM-21-GENSTUDIESPAPER-IV-110122.pdf, pages 8-9. Topic 12 owns consumer safety, core-business ethics and corporate accountability.

Model solution

The competent authority should immediately protect consumers while preserving due process. It should secure samples and records, order risk-based withdrawal or recall, suspend affected production or sale where legally warranted, require public safety communication, test the supply chain and initiate proportionate penalties or prosecution under the applicable food-safety framework after hearing. Consumers suffering harm need complaint, compensation and medical-support routes.

The company should stop sale, preserve evidence and commission an independent quality and governance review. It should notify regulators and consumers truthfully, recall affected batches, compensate loss, discipline responsible executives through fair process and correct incentives that rewarded volume over safety. Batch traceability, strengthened laboratory controls, board-level risk reporting and protected internal reporting are necessary. Reputation cannot be restored through advertising or CSR donations; it must follow verifiable reform and sustained safe performance.

The ethical dilemma is profit and organisational survival versus consumer health, truth and equal dignity. Selling export-rejected goods domestically also reflects a discriminatory double standard: Indian consumers are treated as less worthy. Employees may face loyalty-versus-integrity pressures, but professional duty requires escalation and refusal to certify unsafe goods.

The justified course prioritises safety and candour, with proportionate enforcement and an opportunity for genuine correction. Corporate governance succeeds when the board changes the decision system that produced the misconduct, not merely the public narrative around it. Independent follow-up sampling should verify that corrective controls work across domestic and export product lines.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 5 - 2022 - 10 marks

Question: GS-IV Q5(a): Russia and Ukraine war has been going on for the last seven months. Different countries have taken independent stands and actions keeping in view their own national interests. We are all aware that war has its own impact on the different aspects of society, including human tragedy. What are those ethical issues that are crucial to be considered while launching the war and its continuation so far? Illustrate with justification the ethical issues involved in the given state of affair. (Answer in 150 words)

Source / ownership: Exact isolated subpart verified against books\more_previous_papers\QP-CSM-22-GENERAL-STUDIES-PAPER IV-190922.pdf, page 4. The seven-month wording is retained as the paper's dated premise; no present battlefield status is inferred.

Model solution

The decision to launch war raises jus ad bellum questions: respect for sovereignty, just cause, legitimate authority, last resort, reasonable prospect of success and proportionality of the overall response. National interest cannot by itself justify aggression or convert weaker populations into means for geopolitical advantage.

Continuation raises jus in bello duties independent of which side claims justice: distinction between combatants and civilians, proportionality of attacks, precautions, humane treatment of prisoners and protection of medical and humanitarian operations. Nuclear escalation, food and energy disruption, displacement, misinformation and the burdens imposed on future generations widen the moral field. Humanitarian aid should remain neutral, impartial and independent so that access is not made a political reward.

States also face duties to pursue credible diplomacy and accept a just peace when achievable. A balanced answer neither treats every use of force as identical nor permits claimed necessity to erase civilian protection. Ethical statecraft joins legitimate security with restraint, truthful public justification and continuing review of whether further force remains necessary.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 6 - 2022 - 10 marks

Question: GS-IV Q6(b): In contemporary world, corporate sector's contribution in generating wealth and employment is increasing. In doing so, they are bringing in unprecedented onslaught on the climate, environmental sustainability and living conditions of human beings. In this background, do you find that Corporate Social Responsibility (CSR) is efficient and sufficient enough to fulfill the social roles and responsibilities needed in the corporate world for which the CSR is mandated? Critically examine. (Answer in 150 words)

Source / ownership: Exact isolated Q6(b) verified against books\more_previous_papers\QP-CSM-22-GENERAL-STUDIES-PAPER IV-190922.pdf, page 5. Q6(a) on whistle-blower protection belongs primarily to Topic 21; Topic 12 owns this CSR subpart.

Model solution

CSR is efficient when it creates a predictable social-investment floor, uses company capabilities and funds locally relevant education, health, livelihoods or environmental projects. India's Companies Act, 2013, s.135 makes it statutory for qualifying companies: any one of the net-worth, turnover or net-profit thresholds triggers at least two percent of average net profits of the three preceding years for Schedule VII activities. Unspent-transfer and impact-assessment rules strengthen discipline.

CSR is not sufficient. A company may spend fully yet underpay labour, mis-sell products, bribe officials or conceal emissions in its core business. Projects may be publicity-led, fragmented or selected without community ownership. Greenwashing converts measurable expenditure into a substitute for difficult operational reform.

Therefore CSR should be judged through need assessment, participation, independent impact evaluation and transparent board oversight, but paired with ethical core operations, environmental compliance and stakeholder governance. It is a statutory and useful social-spend floor, not a licence to externalise harm or a complete measure of corporate citizenship.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 7 - 2022 - 20 marks

Question: GS-IV Q7: Prabhat was working as Vice President (Marketing) at Sterling Electric Ltd., a reputed multinational company. But presently the company was passing through the difficult times as the sales were continuously showing downward trend in the last two quarters. His division, which hitherto had been a major revenue contributor to the company's financial health, was now desperately trying to procure some big government order for them. But their best efforts did not yield any positive success or breakthrough. His was a professional company and his local bosses were under pressure from their London-based HO to show some positive results. In the last performance review meeting taken by the Executive Director (India Head), he was reprimanded for his poor performance. He assured them that his division is working on a special contract from the Ministry of Defence for a secret installation near Gwalior and tender is being submitted shortly. He was under extreme pressure and he was deeply perturbed. What aggravated the situation further was a warning from the top that if the deal is not clinched in favour of the company, his division might have to be closed and he may have to quit his lucrative job. There was another dimension which was causing him deep mental torture and agony. This pertained to his personal precarious financial health. He was a single earner in the family with two school-college going children and his old ailing mother. The heavy expenditure on education and medical was causing a big strain to his monthly pay packet. Regular EMI for housing loan taken from bank was unavoidable and any default would render him liable for severe legal action. In the above backdrop, he was hoping for some miracle to happen. There was sudden turn of events. His secretary informed that a gentleman-Subhash Verma wanted to see him as he was interested in the position of Manager which was to be filled in by him in the company. He further brought to his notice that his CV has been received through the office of the Minister of Defence. During interview of the candidate-Subhash Verma, he found him technically sound, resourceful and experienced marketeer. He seemed to be well-conversant with tendering procedures and having knack of follow-up and liaising in this regard. Prabhat felt that he was better choice than the rest of the candidates who were recently interviewed by him in the last few days. Subhash Verma also indicated that he was in possession of the copies of the bid documents that the Unique Electronics Ltd. would be submitting the next day to the Defence Ministry for their tender. He offered to hand over those documents subject to his employment in the company on suitable terms and conditions. He made it clear that in the process, the Sterling Electric Ltd. could outbid their rival company and get the bid and hefty Defence Ministry order. He indicated that it will be win-win situation for both-him and the company. Prabhat was absolutely stunned. It was a mixed feeling of shock and thrill. He was uncomfortable and perspiring. If accepted, all his problems would vanish instantly and he may be rewarded for securing the much awaited tender and thereby boosting company's sales and financial health. He was in a fix as to the future course of action. He was wonder-struck at the guts of Subhash Verma in having surreptitiously removing his own company papers and offering to the rival company for a job. Being an experienced person, he was examining the pros and cons of the proposal/situation and he asked him to come the next day. (a) Discuss the ethical issues involved in the case. (b) Critically examine the options available to Prabhat in the above situation. (c) Which of the above would be the most appropriate for Prabhat and why? (Answer in 250 words)

Source / ownership: Exact full case and all three demands verified against books\more_previous_papers\QP-CSM-22-GENERAL-STUDIES-PAPER IV-190922.pdf, pages 6-7. Topic 12 owns corporate integrity, confidential data and fair procurement; Topic 22 supplies the full case-study method.

Model solution

The stakeholders are Prabhat, his dependants and employees, Sterling Electric, Unique Electronics, Subhash, the Defence Ministry, taxpayers and national security. The issues are theft and misuse of confidential bid information, bribery through employment, unfair competition, conflict of interest, possible official influence, professional integrity and pressure created by job and family insecurity.

Prabhat could accept the proposal; reject it silently; postpone and investigate privately; or reject, preserve the approach and report through competent company and tender-integrity channels. Acceptance may save jobs but corrupts recruitment and procurement, creates blackmail risk and exposes security information. Silent rejection avoids immediate wrongdoing but leaves the attempted breach and possible compromise unaddressed. Reckless confrontation or copying the documents could contaminate evidence and create legal risk.

He should refuse access to the documents and make no employment bargain. He should record the encounter, preserve lawful evidence, pause Subhash's recruitment, notify independent compliance or the board, obtain legal advice and inform the competent procurement authority through a secure channel. The company should continue competing only through its own lawful bid and consider protecting affected employees through restructuring rather than fraud.

Prabhat's financial hardship is morally relevant but cannot justify making citizens and competitors bear the cost. The chosen course protects fair competition, national security and long-term corporate reputation. Implementation should minimise unnecessary disclosure, avoid prejudging guilt and permit independent investigation with due process. The board should also review whether unrealistic sales incentives created predictable pressure for future misconduct.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 8 - 2022 - 20 marks

Question: GS-IV Q10: You have done MBA from a reputed institution three years back but could not get campus placement due to COVID-19 generated recession. However, after a lot of persuasion and series of competitive tests including written and interview, you managed to get a job in a leading shoe company. You have aged parents who are dependent and staying with you. You also recently got married after getting this decent job. You were allotted the Inspection Section which is responsible for clearing the final product. In first one year, you learnt your job well and was appreciated for your performance by the management. The company is doing good business for last five years in domestic market and this year it is decided even to export to Europe and Gulf countries. However, one large consignment to Europe was rejected by their Inspecting Team due to certain poor quality and was sent back. The top management ordered that ibid consignment to be cleared for the domestic market. As a part of Inspecting Team, you observed the glaring poor quality and brought to the knowledge of the Team Commander. However, the top management advised all the members of the team to overlook these defects as the management cannot bear such a huge loss. Rest of the team members except you promptly signed and cleared the consignment for domestic market, overlooking glaring defects. You again brought to the knowledge of the Team Commander that such consignment, if cleared even for domestic market, will tarnish the image and reputation of the company and will be counter-productive in the long run. However, you were further advised by the top management that if you do not clear the consignment, the company will not hesitate to terminate your services citing certain innocuous reasons. (a) Under the given conditions, what are the options available to you as a member of the Inspecting Team? (b) Critically evaluate each of the options listed by you. (c) What option would you adopt and why? (d) What are the ethical dilemmas being faced by you? (e) What can be the consequences of overlooking the observations raised by the Inspecting Team? (Answer in 250 words)

Source / ownership: Exact full case and all five demands verified against books\more_previous_papers\QP-CSM-22-GENERAL-STUDIES-PAPER IV-190922.pdf, pages 11-12. Topic 12 owns product safety and ethics in core operations; Topic 22 controls the full options-and-safeguards case architecture.

Model solution

The options are to sign the clearance; refuse without further action; resign; seek retesting and segregation; or refuse, document the defects and escalate through independent quality, compliance, board and regulatory channels. Stakeholders include domestic consumers, the company, employees, shareholders, regulators, colleagues and the officer's dependent family.

Signing protects employment and avoids immediate loss but deceives consumers, applies a discriminatory double standard and creates injury, recall, liability and reputational risk. Silent refusal preserves personal integrity but may not stop sale. Immediate resignation may avoid complicity yet abandons the preventive role. Escalation risks retaliation but best joins safety with institutional correction.

I would refuse to certify, state the technical grounds in writing, preserve test records and seek an independent reinspection. Sale should be held pending a competent decision. I would use protected internal channels and, if management persists in unlawful or dangerous sale, report to the competent regulator. The goods may be reworked, downgraded only for a genuinely safe disclosed use, or destroyed; they cannot be passed to Indian consumers merely because export failed.

The dilemmas are livelihood versus integrity, loyalty versus consumer safety, hierarchy versus professional duty and short-term loss versus long-term trust. Overlooking defects can cause harm, discriminatory treatment, regulatory sanction, litigation, demoralised staff and collapse of reputation. A reasoned, evidence-based refusal with escalation is therefore proportionate and professionally defensible. Retaliation should be documented, challenged through available employment remedies and disclosed to the regulator where relevant.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 9 - 2023 - 10 marks

Question: GS-IV Q1(a): What do you understand by 'moral integrity' and 'professional efficiency' in the context of corporate governance in India? Illustrate with suitable examples. (Answer in 150 words)

Source / ownership: Exact isolated subpart verified against books\more_previous_papers\QP-CSM-23-GENERAL-STUDIES-PAPER-IV-180923.pdf, page 2. Topic 12 is the direct corporate-governance owner.

Model solution

Moral integrity is consistency between professed values and corporate decisions, especially when concealment or private benefit is tempting. Professional efficiency is competent, timely and economical achievement of legitimate organisational purposes. Good governance requires both: integrity without competence may waste stakeholder resources, while efficiency without integrity can make fraud, unsafe production or greenwashing more effective.

A procurement director demonstrates integrity by disclosing that a sibling is a bidder and recusing; the independent committee demonstrates efficiency by using clear specifications, competitive timelines and quality-based evaluation. An audit committee that detects a related-party manipulation, secures records and orders correction similarly combines truthfulness with institutional competence.

The two values reinforce each other when boards align incentives with long-term stakeholder outcomes, protect internal reporters and require reliable disclosure. Yet procedure should remain proportionate: remote interests need not paralyse every decision. Corporate governance becomes ethical when honest purpose is translated into capable systems, reviewable decisions and safe, lawful performance.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 10 - 2023 - 10 marks

Question: GS-IV Q1(b): 'International aid' is an accepted form of helping 'resource-challenged' nations. Comment on 'ethics in contemporary international aid'. Support your answer with suitable examples. (Answer in 150 words)

Source / ownership: Exact isolated subpart verified against books\more_previous_papers\QP-CSM-23-GENERAL-STUDIES-PAPER-IV-180923.pdf, page 2. Topic 12 owns international aid ethics.

Model solution

International aid expresses solidarity and can protect life, health and development capabilities where domestic resources are inadequate. Its ethics, however, depends on design. Recipient ownership requires local institutions and communities to shape priorities; otherwise assistance becomes paternalistic. Conditions may safeguard rights and honest use, but unrelated commercial or geopolitical demands compromise sovereignty.

Accountability is dual: donors must disburse predictably, avoid tied procurement and disclose interests; recipients must prevent diversion and report results. Food aid that permanently undercuts local farmers can create dependency, whereas time-bound nutrition support linked to local procurement and agricultural capacity protects immediate life while building autonomy. Humanitarian relief should follow need, neutrality and impartiality rather than political alignment.

Aid is therefore ethical when it is transparent, participatory, proportionate, corruption-resistant and designed for durable local capacity and an exit path. Neither donor control nor recipient sovereignty is absolute: legitimate conditions must be connected to the aid's purpose and jointly reviewable.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 11 - 2024 - 20 marks

Question: GS-IV Q10: Sneha is a Senior Manager working for a big (reputed) hospital chain in a mid-sized city. She has been made in-charge of the new super speciality center that the hospital is building with state-of-the-art equipment and world class medical facilities. The building has been reconstructed and she is starting the process of procurement for various equipment and machines. As the head of the committee responsible for procurement, she has invited bids from all the interested reputed vendors dealing in medical equipment. She notices that her brother, who is a well-known supplier in this domain, has also sent his expression of interest. Since the hospital is privately owned, it is not mandatory for her to select only the lower bidder. Also, she is aware that her brother's company has been facing some financial difficulties and a big supply order will help him recover. At the same time, allocating the contract to her brother might bring charges of favouritism against her and tarnish her image. The hospital management trusts her fully and would support any decision of hers. (a) What should be Sneha's course of action? (b) How would she justify what she chooses to do? (c) In this case, how is medical ethics compromised with vested personal interest? (Answer in 250 words)

Source / ownership: Full official facts and all three demands verified against books\mains\05 UPSC 2024 Paper-IV_Final 1.pdf, page 8. Topic 12 is the strong corporate/private-institution owner; Topics 09, 16 and 22 cross-link conflict management and case method.

Model solution

Sneha should immediately disclose the relationship in writing and recuse from screening, scoring, negotiation and award. The hospital should appoint an independent committee member or external expert, preserve the brother's eligibility if rules permit, and evaluate all bids against pre-declared criteria: patient safety, clinical need, quality certification, lifecycle cost, service support and financial value. The process and reasons should be documented and auditable.

Awarding directly to her brother may help a financially stressed family business and a good supplier need not be excluded solely because of kinship. Yet Sneha's participation creates actual conflict and a reasonable appearance of favouritism. Rejecting him automatically could also be unfair. Recusal is therefore proportionate: it protects competition without prejudging the bid. Management trust is not a substitute for governance safeguards.

Medical ethics is compromised when personal interest affects procurement because equipment quality, continuity and value directly shape patient safety, access and professional care. Beneficence and non-maleficence require reliable equipment; justice requires fair allocation of hospital resources; fidelity requires placing patients before family advantage. A hidden conflict can also weaken staff confidence and invite inflated prices or poor service.

Sneha should justify her course as protection of both substance and appearance of integrity. If the brother wins through an independent process, the award is defensible; if he loses, family hardship cannot override patient and institutional duties. Future procurement policy should mandate interest registers, recusal and independent review.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

Solved PYQ 12 - 2025 - 10 marks

Question: GS-IV Q2(a): Carl von Clausewitz once said, "War is a diplomacy by other means." Critically analyse the above statement in the present context of contemporary geo-political conflict. (Answer in 150 words)

Source / ownership: Exact isolated Q2(a) verified against books\mains\UPSC Mains 2025 GS Paper 4.pdf, page 2. Q2(b) on environmental clearance in sensitive border areas belongs to Topic 13 and is not reproduced here.

Model solution

Clausewitz's proposition explains war as organised force serving political purpose rather than violence wholly separate from statecraft. Contemporary conflicts confirm that territory, deterrence, alliances and bargaining objectives shape military action. Yet describing war as diplomacy can normalise coercion and obscure the moral change created when persuasion becomes lethal force.

Ethically, policy purpose cannot remove the UN Charter concern for sovereignty or the jus ad bellum tests of legitimate authority, necessity, last resort and proportionality. Once conflict begins, jus in bello independently requires distinction, precautions and proportionality; civilians cannot become instruments for negotiation. Nuclear risk, autonomous systems, information warfare, displacement and attacks affecting food or energy networks make escalation increasingly difficult to control.

The statement is therefore descriptively powerful but normatively incomplete. Responsible statecraft keeps diplomatic channels open, defines limited objectives, protects neutral humanitarian access and continually tests whether force still offers a just and proportionate route to peace. War may pursue policy, but ethics and law must discipline both the purpose and the means.

Why this earns marks: It states the governing ethical idea, translates it into public administration, uses a concrete Indian illustration, acknowledges a limit, and ends with a reasoned verdict.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

Original Mains Practice 1 - 10 marks

Question: Distinguish corporate governance, core-business ethics and Corporate Social Responsibility. Why does conflating them encourage compliance theatre? Answer in about 150 words.

Model solution

Corporate governance is the architecture by which a company is directed and controlled: board oversight, audit, disclosure, conflict management and review of related-party transactions. Core-business ethics concerns how profit is earned through accounting, labour, procurement, product safety, non-bribery and environmental conduct. CSR under Companies Act, 2013, s.135 is a statutory, ring-fenced expenditure and transfer regime for qualifying companies.

Conflation enables compliance theatre. A company may publicise a school project while concealing emissions or selling unsafe products; it may spend two percent yet retain a promoter-dominated board that ignores conflicts. ARC's shift from bolt-on 'business ethics' to 'ethics in business' therefore places integrity inside everyday commercial choices.

The three layers should reinforce one another: governance structures detect and correct misconduct, core ethics sets the operational standard, and CSR contributes separately to social development. CSR is neither optional charity once the statutory trigger applies nor a moral offset for harmful operations. A credible ethical company must satisfy all three tests.

Why this earns marks: The response defines the issue, develops the relevant mechanism with India-centric evidence, tests a limitation, and gives a mark-scaled conclusion.

Original Mains Practice 2 - 10 marks

Question: Explain why international anti-corruption architecture should be understood as layered rather than singular. Answer in about 150 words.

Model solution

International anti-corruption mechanisms differ in legal source, actors and enforcement logic. UNCAC is a multilateral treaty binding States Parties through prevention, criminalisation, cooperation and asset-recovery commitments; India ratified it in 2011. The ADB-OECD Action Plan is a regional cooperative and non-binding framework endorsed by India, distinct from the OECD Anti-Bribery Convention, to which India is not a party.

World Bank conditions use financing leverage by withholding or structuring support where projects are tainted by corruption. The United States FCPA uses domestic law with extraterritorial reach, combining anti-bribery prohibitions with issuer books-and-records and internal-control duties. These mechanisms may reinforce one another but are not interchangeable.

A layered answer prevents overclaiming. Treaty membership does not itself guarantee domestic enforcement; peer cooperation does not create Convention-party status; lender conditions can protect funds yet raise ownership concerns; and foreign statutes depend on jurisdictional links. Effective integrity therefore requires domestic implementation joined to precise international cooperation.

Why this earns marks: The response defines the issue, develops the relevant mechanism with India-centric evidence, tests a limitation, and gives a mark-scaled conclusion.

Original Mains Practice 3 - 15 marks

Question: Critically examine India's statutory CSR architecture as a social-spend floor and assess its capacity to prevent greenwashing. Answer in about 200 words.

Model solution

Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore. The minimum spend is two percent of average net profits of the three preceding financial years on Schedule VII activities.

The 2019 amendment created the statutory unspent architecture: non-ongoing amounts move to a specified fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and must be used through the three-year route. The 2021 rules operationalised ongoing projects, implementing-agency registration and independent impact assessment for companies with average CSR obligation of at least Rs 10 crore and qualifying completed projects. The 2022 amendment revised assessment-cost limits to two percent of annual CSR expenditure or Rs 50 lakh, whichever is higher.

These controls improve discipline and outcome scrutiny, but cannot prevent greenwashing alone. Spending may be highly visible yet unrelated to community priorities, while harmful core operations continue. Board disclosure may become formalistic and smaller projects may escape impact assessment.

CSR is therefore an enforceable social-spend floor, not proof of ethical business. Preventing greenwashing also requires stakeholder participation, reliable impact evidence, environmental and labour compliance, honest disclosure and board accountability for the company's core conduct.

Why this earns marks: The response defines the issue, develops the relevant mechanism with India-centric evidence, tests a limitation, and gives a mark-scaled conclusion.

Original Mains Practice 4 - 15 marks

Question: International aid must reconcile ownership, conditionality, dependency and dual accountability. Discuss with suitable examples. Answer in about 200 words.

Model solution

International aid is ethically justified by solidarity and the urgent protection of life and development capabilities. Yet recipient ownership requires national institutions and affected communities to lead priorities. A donor-designed health programme that ignores local disease patterns may be well funded but ethically paternalistic.

Conditionality can protect funds, human rights and reform, but unrelated commercial concessions or imposed policy templates compromise sovereignty. Conditions are strongest when transparent, proportionate, connected to the programme and jointly reviewable. Accountability is dual: donors must disclose interests, avoid tied procurement and deliver predictably; recipients must prevent diversion, publish use and permit independent scrutiny.

Dependency is the temporal risk. Repeated imported food aid may undercut local farmers and revenue mobilisation, whereas emergency nutrition linked to local procurement, storage and agricultural capacity meets immediate need while building autonomy. Humanitarian relief should remain neutral and impartial so access is not conditioned on political allegiance.

The balanced design is recipient-led, corruption-resistant and capacity-building, with feedback, grievance channels and an exit path. Ownership cannot shield diversion, while accountability cannot become indefinite donor control. Ethical aid enlarges local agency rather than replacing it.

Why this earns marks: The response defines the issue, develops the relevant mechanism with India-centric evidence, tests a limitation, and gives a mark-scaled conclusion.

Original Mains Practice 5 - 20 marks

Question: An Indian listed company is offered confidential technical and price data belonging to a rival bidder for a strategic public contract. Accepting it may save a division and thousands of jobs. As the board's independent ethics adviser, recommend a course of action. Answer in about 250 words.

Model solution

The stakeholders are employees and their families, shareholders, the rival bidder, public procuring authority, taxpayers, national-security institutions, the person offering the data and the board. The core issues are theft or misuse of confidential information, unfair competition, possible bribery through employment or payment, board oversight, livelihood pressure and long-term institutional trust.

The company could accept and exploit the data; reject it silently; contact the rival informally; or refuse, preserve the approach and report through competent channels. Acceptance offers immediate commercial benefit but corrupts procurement, creates blackmail and legal exposure, and makes job preservation dependent on fraud. Silent rejection avoids direct use but leaves possible compromise of a strategic tender unaddressed. Informal contact risks leakage and evidence contamination.

I would advise the board to prohibit access and copying, record the approach, preserve only lawfully held evidence and obtain independent legal and compliance guidance. The implicated recruitment or consultancy process should be paused. A secure report should go to the competent procurement-integrity authority, with disclosure limited to what is necessary. The company must submit only its independently prepared bid.

To protect employees, management should develop lawful restructuring, redeployment and new-market options rather than invoke them as moral hostages. The board should investigate incentive failures, strengthen conflict and confidential-information controls, protect good-faith reporters and monitor retaliation.

The recommendation joins deontological respect for fair rules, consequential protection of procurement and virtue integrity. Residual risks include retaliation, false accusation and tender delay; independent fact-finding, due process and restricted disclosure mitigate them.

Why this earns marks: The response defines the issue, develops the relevant mechanism with India-centric evidence, tests a limitation, and gives a mark-scaled conclusion.

Original Mains Practice 6 - 20 marks

Question: A humanitarian donor offers urgent climate-disaster assistance to an Indian Ocean island state but ties it to unrelated procurement preferences, exclusive access to strategic infrastructure and donor control over beneficiary data. Evaluate the options and propose an ethical aid compact. Answer in about 250 words.

Model solution

The immediate duty is to save life, shelter displaced people and restore essential services. Stakeholders include affected residents, vulnerable minorities, the recipient government, local firms, donor taxpayers, humanitarian agencies and future citizens whose sovereignty and data rights may be impaired. The dilemmas are urgency versus informed choice, accountability versus domination, and short-term relief versus dependency.

The recipient could accept all conditions, reject the package, seek alternative donors, or negotiate a separated compact. Unqualified acceptance accelerates relief but converts vulnerability into leverage, distorts procurement and exposes sensitive data. Rejection protects autonomy but may leave preventable suffering. Waiting solely for alternatives may be too slow.

The ethical course is to accept or request immediate life-saving assistance under a time-bound humanitarian tranche separated from unrelated strategic concessions. Procurement conditions should be open, competitive and tied only to delivery integrity. Beneficiary data should be minimal, purpose-limited, secured and controlled under recipient law, with no exclusive donor access. A joint board including recipient institutions, local communities and independent auditors should publish funds and outcomes while protecting personal data.

Longer-term support should follow recipient-owned recovery priorities, use local procurement where feasible, build administrative and climate resilience, and include an exit and handover plan. Complaints, anti-corruption review and periodic renegotiation should be available to both parties.

This compact preserves dual accountability without treating sovereignty as immunity from scrutiny or aid as a licence for coercion. Neutrality, proportionality, transparency and local agency make solidarity ethically credible.

Why this earns marks: The response defines the issue, develops the relevant mechanism with India-centric evidence, tests a limitation, and gives a mark-scaled conclusion.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

> **Subject:** Ethics | **Tier:** Advanced | **GS Paper:** GS-IV. **Core area:** Deeper treatment of corporate governance failures, international anti-corruption architecture, and their public-administration parallels. **Grounded in:** 2nd ARC 4th Report *Ethics in Governance* (2007); UNCAC (2003); Companies Act, 2013; audited GS-IV PYQs (2024-2025 Mains). FACT: = source-grounded | ANALYSIS: = inference/analysis | CURRENT: = current anchor. *Companion:* `basic/12_Corporate-Governance-and-International-Ethics.md`.

1. Architecture

```
CORPORATE GOVERNANCE FAILURE MODE         INSTITUTIONAL/LEGAL RESPONSE
Fragmented investigation of complex         Multi-disciplinary Serious Fraud Office
financial fraud (ARC Box 3.2)                (Naresh Chandra Committee, 2002; UK SFO 1988)
Retaliation against internal reporters      Sarbanes-Oxley Act whistleblower protection
of fraud (Enron/WorldCom)                    (US, 2002)
"Business ethics" as external PR            ARC's "ethics in business" reframing (1.17)
layer, disconnected from core operations
Statutory CSR spend mistaken for            Explicit CSR/ethics distinction (Companies
substantive ethical conduct                  Act 2013 s.135 vs core-conduct standards)
Cross-border bribery/corruption              UNCAC (2003), ADB-OECD Anti-Corruption
outside single-jurisdiction reach            Action Plan, US FCPA
```

Analytical claim: Corporate-governance ethics and public-administration ethics share a common diagnostic structure - fragmented oversight, retaliation risk against internal reporters, and a compliance-theatre trap - such that reforms proven effective in one domain (multi-disciplinary fraud investigation, whistleblower protection) are directly transferable to the other.

2. Concepts and distinctions

Concept	Precise meaning
ANALYSIS: **Agency problem**	The separation of ownership (shareholders) from control (management) creates incentives for managers to prioritise personal/short-term gain over shareholders'/stakeholders' long-term interest - the foundational economic-ethics problem corporate governance is designed to solve.
FACT: **Stakeholder vs shareholder model of corporate ethics**	Shareholder-primacy models judge corporate ethics mainly by fiduciary duty to owners/profit; stakeholder models extend ethical obligation to employees, communities, environment and future generations - the 2024 GS-IV case study's "sustainability vs profitability" framing directly tests this tension.
FACT: **Serious Fraud Office model - precise design features** (ARC 3.7.4; UK SFO under the Criminal Justice Act 1987)	The Director acts "under the superintendence of the Attorney General"; multi-disciplinary teams (law, accountancy, investigation); may "institute and have the conduct of" its own prosecutions without routing through a separate prosecution service; may investigate any suspected offence which appears "on reasonable grounds" to involve "serious or complex fraud", the Act deliberately leaving the term undefined. The relevant provisions came into force on 6 April 1988.
ANALYSIS: **Regulatory capture**	The risk that a sector regulator, over time, comes to serve the interests of the regulated industry rather than the public - a corporate-governance-adjacent ethical risk relevant to competition, environment and financial regulators alike.

3. Detailed treatment

The compliance-theatre trap - why "ethics in business" is harder than it sounds

- FACT: ARC 1.17's shift from "business ethics" to "ethics in business" targets a specific failure mode: a company can maintain an ethics/compliance *department* that issues codes and training, while core commercial decisions (pricing, sourcing, lobbying, environmental compliance) remain driven by pure profit calculus insulated from that department's influence.

- ANALYSIS: Advanced diagnostic: genuine "ethics in business" requires the ethics function to have *authority over core decisions* (veto/escalation power on high-risk transactions), board-level reporting lines independent of the CEO, and metrics that reward long-term stakeholder outcomes, not merely a training-completion or code-acknowledgment record.

CSR as a statutory mandate - strengths and limits

- FACT: Companies Act, 2013, Section 135 requires qualifying companies (net worth ≥ Rs 500 crore, turnover ≥ Rs 1,000 crore, or net profit ≥ Rs 5 crore in the immediately preceding financial year) to spend at least 2% of average net profits of the three immediately preceding financial years on Schedule VII activities, with mandatory board disclosure. Amendments have materially tightened this: the Companies (Amendment) Act, **2019** created the unspent-amount architecture - for a non-ongoing project, transfer to a Schedule VII fund within **six months** of the year-end; for an ongoing project, transfer to an **Unspent CSR Account** within **30 days** of year-end, to be spent within three financial years. The Companies (Amendment) Act, **2020** converted the Section 135(7) sanction into a **civil monetary penalty** (company: the lesser of twice the transferable amount or Rs 1 crore; officer in default: the lesser of one-tenth of that amount or Rs 2 lakh) and inserted **Section 135(9)**, exempting a company whose required CSR spend does not exceed Rs 50 lakh from constituting a CSR Committee.

- FACT: The CSR Policy Amendment Rules, **2021** added the "ongoing project" definition, mandatory registration of implementing agencies through **Form CSR-1**, and impact assessment for companies with an average CSR obligation of Rs 10 crore or more. ANALYSIS: **Form CSR-2** was introduced separately, by the Companies (Accounts) Amendment Rules, 2022 - do not attribute it to the 2021 CSR Rules.

- CURRENT: Most recent change (dated): by notifications G.S.R. 415(E) and G.S.R. 416(E) of **27 May 2026**, Schedule VII was expanded to include subscription to zero-coupon zero-principal instruments on the Social Stock Exchange, capped by a new Rule 4A at 10% of annual CSR expenditure.
- ANALYSIS: Advanced critique: CSR spending, however well-administered, does not address a company's *core* ethical conduct (e.g., a company could fully comply with CSR spend while simultaneously under-reporting emissions or engaging in anti-competitive practices) - CSR is best understood as a redistribution/reputation mechanism operating *alongside*, not as a proxy for, ethical business conduct.

International anti-corruption architecture - layered, not singular

- FACT: ARC 1.14 identifies three distinct international layers: (1) UNCAC (adopted 31 October 2003; in force 14 December 2005; **India signed 9 December 2005 and ratified 9 May 2011**) - the binding multilateral treaty framework; (2) the ADB-OECD Anti-Corruption Action Plan for Asia and the Pacific - a regional, non-binding cooperative framework India endorsed on 30 November 2001; (3) World Bank conditionality - refusing to fund projects "tainted by corrupt practices", an instrumental, lender-driven mechanism distinct from treaty law. ARC 1.14 also notes the 2006 IMF-World Bank Singapore joint statement on a common anti-fraud framework.
- ANALYSIS: Advanced point: these layers operate through different enforcement logics - treaty obligation (UNCAC), cooperative peer-review (ADB-OECD), and financial conditionality (World Bank) - and a sophisticated answer should not conflate them as a single undifferentiated "international pressure." ANALYSIS: India is **not** a party to the separate OECD Anti-Bribery Convention, 1997.
- ANALYSIS: The US Foreign Corrupt Practices Act (FCPA), 1977 is distinctive because it extraterritorially punishes *bribe-paying* by US issuers/persons and by foreign firms acting in furtherance within US territory. It also contains issuer accounting provisions on accurate books and records and adequate internal accounting controls. ARC 3.2.2 notes most countries, unlike the US via the FCPA, have historically been reluctant to punish bribe-payers as vigorously as bribe-takers, a parallel to the coercive/collusive distinction in 19. CURRENT: Date-stamp any *enforcement* claim: Executive Order 14209 of 10 February 2025 directed a pause on new FCPA matters pending review, and revised DOJ guidelines of 9 June 2025 narrowed enforcement priorities; the statute remains in force and cases continue to be resolved, so describe FCPA enforcement as selective and policy-dependent rather than either unchanged or abandoned.

The 2024 GS-IV case study - a genuine stakeholder-vs-shareholder dilemma

- ANALYSIS: 2024 GS-IV Q7, primarily owned by Topics 13 and 22 and cross-linked here, presents a tech CEO/majority shareholder facing a 48% increase in greenhouse-gas emissions in 2023 against 2019 levels, driven by AI-fuelled data-centre energy demand, against a stated net-zero-by-2030 commitment, amid competitive pressure for innovation and shareholder value; the paper asks for an immediate response, the ethical issues, the arguments the CEO would make about being singled out for penalty by technology giants, and the measures a "conscience being" would adopt.
- ANALYSIS: Advanced decomposition: (a) deontological floor - does the company have a non-negotiable disclosure/compliance duty regarding emissions data (transparency to regulators/investors)? (b) consequentialist optimisation - what mix of renewable investment, efficiency improvement and innovation pacing minimises net long-term harm while sustaining competitiveness? (c) virtue-ethics judgment - would a genuinely sustainability-committed leader treat the Net Zero pledge as binding even when inconvenient, or treat it as a flexible PR commitment? A strong answer explicitly recommends verifiable, time-bound renewable-energy investment commitments alongside continued innovation, rather than an either/or choice between the two.

4. Institutional and reform architecture

- FACT: ARC 3.7.9's Corporate Serious Fraud Office recommendation was followed by India's **Serious Fraud Investigation Office (SFIO) **- first set up by Government Resolution of 2 July 2003 and then given statutory footing under** Section 211 of the Companies Act, 2013** (notified by S.O. 2005(E) dated 21 July 2015), with power to arrest under Section 212(8) where there is material-based reason to believe a person is guilty of fraud under Section 447. This is the cleanest available "ARC recommendation vs later enacted institution" comparison for exam answers.
- ANALYSIS: Sarbanes-Oxley-style whistleblower protection for corporate reporting has a partial Indian analogue in SEBI's whistleblower/informant reward mechanisms for insider-trading and securities-law violations - a narrower, sector-specific protection than the general Whistle Blowers Protection Act, 2014, which has never been brought into force (see 19).

5. Indian applications and boundary cases

- ANALYSIS: A listed Indian company disclosing GHG-emissions data transparently while committing to a verifiable, board-monitored renewable-energy transition plan operationalises "ethics in business" rather than treating sustainability purely as a CSR-linked reputational spend.
- ANALYSIS: Boundary case: a company meeting its statutory CSR obligation (tree-plantation drives, school donations) while its core operations remain carbon-intensive without a credible transition plan exemplifies the CSR/corporate-ethics gap this file warns against.

6. Limitations and trade-offs

- ANALYSIS: Embedding ethics authority at the board level (rather than a subordinate compliance department) can slow decision-making and create governance friction with operational management - a genuine organisational-design cost of taking "ethics in business" seriously.
- ANALYSIS: International anti-corruption instruments (UNCAC, ADB-OECD) rely on national implementation and lack direct enforcement power over sovereign states, limiting their reach absent domestic political will.
- ANALYSIS: CSR mandates, if too prescriptive, risk becoming compliance-driven spending disconnected from genuine community need or company competence, echoing the broader "code of conduct vs genuine ethical culture" tension in 16.

7. Must-Know Facts for Advanced Prelims

- FACT: Companies Act, 2013, Section 135's CSR-applicability thresholds: net worth ≥ Rs 500 crore, or turnover ≥ Rs 1,000 crore, or net profit ≥ Rs 5 crore, in the immediately preceding financial year, triggering a 2%-of-average-net-profits CSR spend.
- FACT: The UK Serious Fraud Office was constituted under the Criminal Justice Act 1987 and began operating in April 1988; its Director acts under the superintendence of the Attorney General and may prosecute its own cases.
- FACT: The US FCPA (1977) targets bribe-paying by US issuers/persons and by others acting in furtherance within US territory - an extraterritorial anti-corruption mechanism distinct from UNCAC's multilateral framework.
- FACT: India ratified UNCAC on 9 May 2011, having signed on 9 December 2005; India is **not** a party to the OECD Anti-Bribery Convention, 1997.

8. Advanced Prelims traps

- WRONG: UNCAC, the ADB-OECD Action Plan and World Bank conditionality are essentially the same mechanism. -> They operate through distinct logics: binding treaty, cooperative peer framework, and lender conditionality respectively.
- WRONG: CSR spend automatically indicates ethical core-business conduct. -> CSR is a distinct, often ring-fenced spend obligation; a company can comply with CSR while its core operations remain ethically deficient.
- WRONG: India's Serious Fraud Investigation Office is identical in design to the ARC's 2007 Corporate Serious Fraud Office proposal. -> They are related but not identical: the SFIO operates under Section 211 of the Companies Act, 2013 (notified in 2015) with a specific statutory arrest power under Section 212(8), whereas the 2002/2007 proposal envisaged a body in the Department of Company Affairs overseen by a Cabinet Secretary-headed committee.
- WRONG: India is bound by the OECD Anti-Bribery Convention because it works with the OECD on anti-corruption. -> India endorsed the ADB-OECD Anti-Corruption *Action Plan* (2001) and ratified UNCAC (2011), but is not a party to the OECD Anti-Bribery Convention, 1997.

9. Current application

Current application (verify before use)	Topic-specific analytical use
ANALYSIS: Corporate net-zero and ESG-disclosure pressure	Frames the 2024 AI/data-centre case study as a verifiability-versus-signalling dilemma; cite the applicable dated SEBI disclosure instrument before stating a current obligation.
FACT: UNODC and UN Global Compact, updated *Anti-Corruption Ethics and Compliance Programme for Business: A Practical Guide*, March 2026	Current corporate-integrity anchor: moves beyond compliance towards transformational governance and covers environmental stewardship, human rights, responsible technology and emerging AI risks.

10. PYQ-based analytical application

- FACT: 2024 GS-IV Q7 rewards an answer that names the stakeholder-shareholder tension explicitly, applies at least two moral theories (`08`), and recommends a *specific, verifiable* step (e.g., time-bound renewable procurement targets, third-party emissions audit) rather than a vague "balance profit and sustainability" statement.
- ANALYSIS: Cross-reference `13` for the technology/AI-specific ethical dimensions of this same case study.

11. Mains-ready framework

Central thesis: Corporate governance ethics succeeds only when ethical authority is embedded in core business decisions (not confined to a compliance department or CSR spend), reinforced by domestic multi-disciplinary fraud-investigation capacity and layered international anti-corruption commitments.

1. Distinguish the dilemma's core-conduct dimension from any CSR-adjacent dimension.
2. Apply the stakeholder-vs-shareholder tension explicitly.
3. Triangulate using deontology (disclosure/compliance floor), consequentialism (net welfare optimisation) and virtue ethics (genuine vs performative commitment).
4. Recommend a specific, verifiable, time-bound corrective measure.
5. Where relevant, name the applicable domestic (SFIO, Companies Act) and international (UNCAC, ADB-OECD, FCPA) architecture precisely, not generically.

12. Probable questions

- ANALYSIS: **Prelims:** What are the CSR-applicability thresholds under Section 135 of the Companies Act, 2013?
- ANALYSIS: **Mains (10 marks):** Distinguish "ethics in business" from "business ethics" as understood by the 2nd ARC, with a corporate governance example.
- ANALYSIS: **Mains (15 marks):** A technology company's profitability has risen alongside a sharp increase in emissions from AI-driven infrastructure. Recommend a strategic response balancing innovation, profitability and sustainability, using at least two ethical frameworks.

13. Study links

- FACT: Foundation companion: `basic/12_Corporate-Governance-and-International-Ethics.md`.
- FACT: `13_Emerging-Ethics-Technology-AI-and-Environment.md` - the technology/environment case in depth.
- FACT: `19_Corruption-Legal-Framework.md` - whistleblower-protection parallels.
- FACT: `08_Moral-Theories-Deontology-Consequentialism-Virtue-Ethics.md` - theory triangulation method.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`.

- **Years represented:** 2019, 2020, 2021, 2022, 2023
- **Paper(s):** GS-IV
- **Routed question demands:** 11

Semantic table split - Year

- **Year:** 2019
- **Paper:** GS-IV
- **Q:** 9
- **PYQ demand (neutral rendering):** Apparel company - marketing executive sexually harasses woman employee - company offers money to withdraw FIR; identify ethical issues and options available to woman employee
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2020
- **Paper:** GS-IV
- **Q:** 3
- **PYQ demand (neutral rendering):** (a) most relevant teachings of Buddha today and why; (b) will to power tamed by rationality and moral duty - examine in context of international relations
- **Directive / format:** Discuss / Examine · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2020
- **Paper:** GS-IV
- **Q:** 8

- **PYQ demand (neutral rendering):** BML Chairman asked to expand ATGM production for export to friendly nation - (a) ethical issues for a responsible arms-exporting nation; (b) five ethical factors influencing arms sale decision
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2020
- **Paper:** GS-IV
- **Q:** 11
- **PYQ demand (neutral rendering):** Anil APW factory in backward Parmal district: CSR-driven development of Noora village - critically analyse ethical issues; assess APW as role model for backward area development
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2021
- **Paper:** GS-IV
- **Q:** 5
- **PYQ demand (neutral rendering):** (a) refugees must not be returned to face persecution - examine ethical dimensions violated by nations claiming to be democratic; (b) impartiality and non-partisanship as indispensable civil servant qualities
- **Directive / format:** Examine / Discuss · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2021
- **Paper:** GS-IV
- **Q:** 11
- **PYQ demand (neutral rendering):** food company sells inferior products domestically and dumps rejected export products in Indian market - (a) authority action; (b) company remedy to restore reputation; (c) ethical dilemma
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 5
- **PYQ demand (neutral rendering):** (a) ethical issues in Russia-Ukraine war; (b) short notes on conflict of interest, probity in public life, challenges of digitalization, devotion to duty
- **Directive / format:** Illustrate (a); Short notes (b) · 10 + 10 marks · 150 words (a); 30 words each (b)
- **Source status:** Routed to owning Ethics topic; stem verified against official scan; OCR artifact resolved
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 6

- **PYQ demand (neutral rendering):** (a) policy measures to strengthen whistle-blower protection mechanism; (b) corporate social responsibility in contemporary corporate world
- **Directive / format:** Suggest (a); Critically examine (b) · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 7
- **PYQ demand (neutral rendering):** Case on a marketing VP offered rival firm's defence tender documents in exchange for employment
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Apply stakeholders, dilemmas, options, justification, implementation and safeguards.
- **Year:** 2022
- **Paper:** GS-IV
- **Q:** 10
- **PYQ demand (neutral rendering):** Case on a quality inspection officer pressured to clear an export-rejected defective consignment for domestic market
- **Directive / format:** Case study · 20 marks · 250 words
- **Source status:** Case routed to Ethics case-study method
- **Owner requirement:** Apply stakeholders, dilemmas, options, justification, implementation and safeguards.
- **Year:** 2023
- **Paper:** GS-IV
- **Q:** 1
- **PYQ demand (neutral rendering):** (a) moral integrity and professional efficiency in corporate governance; (b) ethics in contemporary international aid
- **Directive / format:** Illustrate (a); Comment (b) · 10 + 10 marks · 150 words each
- **Source status:** Routed to owning Ethics topic
- **Owner requirement:** Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Apparel company - marketing executive sexually harasses woman employee - company offers money to withdraw FIR; identify ethical issues and options available to woman employee
- (a) most relevant teachings of Buddha today and why; (b) will to power tamed by rationality and moral duty - examine in context of international relations
- BML Chairman asked to expand ATGM production for export to friendly nation - (a) ethical issues for a responsible arms-exporting nation; (b) five ethical factors influencing arms sale decision
- Anil APW factory in backward Parmal district: CSR-driven development of Noora village - critically analyse ethical issues; assess APW as role model for backward area development
- (a) refugees must not be returned to face persecution - examine ethical dimensions violated by nations claiming to be democratic; (b) impartiality and non-partisanship as indispensable civil servant qualities
- food company sells inferior products domestically and dumps rejected export products in Indian market - (a) authority action; (b) company remedy to restore reputation; (c) ethical dilemma
- (a) ethical issues in Russia-Ukraine war; (b) short notes on conflict of interest, probity in public life, challenges of digitalization, devotion to duty

- (a) policy measures to strengthen whistle-blower protection mechanism; (b) corporate social responsibility in contemporary corporate world
- Case on a marketing VP offered rival firm's defence tender documents in exchange for employment
- Case on a quality inspection officer pressured to clear an export-rejected defective consignment for domestic market
- (a) moral integrity and professional efficiency in corporate governance; (b) ethics in contemporary international aid

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CONSOLIDATED REGISTER NOTES

EMBEDDED TWELVE-PANEL ASCII REVISION ATLAS

The panels compress the learning route without replacing the complete teaching and solved practice above.

ASCII PANEL 1/12 - 1. Three layers of ethical enterprise

```
CENTRAL FOCUS
1. Three layers of ethical enterprise
  [1] Ethics in business
        |
        v
  [2] Everyday commercial means
        |
        v
  [3] Corporate governance
        |
        v
  [4] Board, audit and disclosure
        |
        v
  [5] Core-operation integrity
        |
        v
  [6] Safe and fair production
        |
        v
  [7] Statutory CSR spend
        |
        v
  [8] No moral offset
        |
        v
VERDICT -> Governance, core conduct and CSR are complementary but never interchangeable.
ANSWER USE -> Use to open CSR or corporate-governance answers.
```

ASCII PANEL 2/12 - 2. ARC integration test

```
CENTRAL FOCUS
2. ARC integration test
  [1] Reject ethics as public relations
        |
        v
  [2] Test pricing and procurement
        |
        v
  [3] Test labour and product safety
        |
        v
  [4] Test accounting and disclosure
        |
        v
  [5] Give ethics board access
        |
        v
  [6] Align incentives with integrity
        |
        v
  [7] Protect internal challenge
        |
        v
  [8] Audit real outcomes
        |
        v
VERDICT -> Ethics must govern profit-making decisions, not decorate them afterward.
ANSWER USE -> Use for the ARC ethics-in-business distinction.
```

ASCII PANEL 3/12 - 3. Corporate governance control chain

```
CENTRAL FOCUS
3. Corporate governance control chain
  [1] Define board responsibility
        |
        v
  [2] Separate oversight and management
        |
        v
  [3] Strengthen audit independence
        |
        v
  [4] Disclose material information
        |
        v
  [5] Record conflicts of interest
        |
        v
  [6] Scrutinise related parties
        |
        v
  [7] Protect whistleblowers
        |
        v
  [8] Correct and report failure
        |
        v
VERDICT -> Structures matter because integrity needs authority, information and follow-up.
ANSWER USE -> Use for 2023 Q1(a) and governance reform.
```

ASCII PANEL 4/12 - 4. CSR statutory architecture

```
CENTRAL FOCUS
4. CSR statutory architecture
  [1] Test any one threshold
        |
        v
  [2] Apply two-percent formula
        |
        v
  [3] Choose Schedule VII activity
        |
        v
  [4] Approve and disclose policy
        |
        v
  [5] Classify unspent amount
        |
        v
  [6] Use correct transfer route
        |
        v
  [7] Assess qualifying impact
        |
        v
  [8] Separate spend from ethics
        |
        v
VERDICT -> CSR is a statutory floor for qualifying companies, not discretionary compliance.
ANSWER USE -> Use for 2022 Q6(b) and close-option facts.
```

ASCII PANEL 5/12 - 5. Unspent and impact chronology

```
CENTRAL FOCUS
5. Unspent and impact chronology
  [1] 2013: s.135 framework
        |
        v
  [2] 2019: unspent architecture
        |
        v
  [3] 2021: provisions operational
        |
        v
  [4] 2021: ongoing project defined
        |
        v
  [5] 2021: CSR-1 registration
        |
        v
  [6] 2021: impact mandate
        |
        v
  [7] 2022: cost cap revised
        |
        v
  [8] 2026: bounded SSE route
        |
        v
VERDICT -> Keep statutory creation, rule-level operation and later amendment claims separate.
ANSWER USE -> Use to prevent CSR chronology errors.
```

ASCII PANEL 6/12 - 6. Stakeholder and shareholder test

```
CENTRAL FOCUS
6. Stakeholder and shareholder test
  [1] Identify owners' legitimate claim
        |
        v
  [2] Protect long-term enterprise value
        |
        v
  [3] Identify employee interests
        |
        v
  [4] Protect consumer safety
        |
        v
  [5] Include affected community
        |
        v
  [6] Internalise environmental harm
        |
        v
  [7] Consider future generations
        |
        v
  [8] Give a weighted verdict
        |
        v
VERDICT -> Profit remains legitimate but is constrained by rights, harm and durable trust.
ANSWER USE -> Use for sustainability and product-safety cases.
```

ASCII PANEL 7/12 - 7. Serious fraud and whistleblowing

```
CENTRAL FOCUS
7. Serious fraud and whistleblowing
  [1] Fragmented fraud investigation
        |
        v
  [2] Naresh Chandra 2002 proposal
        |
        v
  [3] SFIO set up in 2003
        |
        v
  [4] Statutory basis in s.211
        |
        v
  [5] Multidisciplinary investigation
        |
        v
  [6] Bounded s.212 arrest power
        |
        v
  [7] SOX s.806 civil remedy
        |
        v
  [8] SOX s.1107 criminal offence
        |
        v
VERDICT -> Precision about institutions and remedies prevents attractive but false
             equivalence.
ANSWER USE -> Use in corporate-fraud and whistleblower answers.
```

ASCII PANEL 8/12 - 8. International anti-corruption layers

```
CENTRAL FOCUS
8. International anti-corruption layers
  [1] UNCAC treaty obligations
        |
        v
  [2] India ratified in 2011
        |
        v
  [3] ADB-OECD cooperative plan
        |
        v
  [4] Not OECD Convention membership
        |
        v
  [5] Lender financial conditions
        |
        v
  [6] FCPA anti-bribery rules
        |
        v
  [7] FCPA issuer accounting rules
        |
        v
  [8] Domestic implementation needed
        |
        v
VERDICT -> Treaty, cooperation, lending and extraterritorial law use different logics.
ANSWER USE -> Use for global anti-corruption questions.
```

ASCII PANEL 9/12 - 9. International aid ethics

```
CENTRAL FOCUS
9. International aid ethics
  [1] Begin with human need
        |
        v
  [2] Preserve recipient ownership
        |
        v
  [3] Test donor conditionality
        |
        v
  [4] Avoid tied advantage
        |
        v
  [5] Create dual accountability
        |
        v
  [6] Prevent diversion
        |
        v
  [7] Reduce dependency
        |
        v
  [8] Build capacity and exit
        |
        v
VERDICT -> Ethical aid enlarges local agency while retaining transparent use safeguards.
ANSWER USE -> Use for 2023 Q1(b).
```

ASCII PANEL 10/12 - 10. War and arms-transfer ethics

```
CENTRAL FOCUS
10. War and arms-transfer ethics
  [1] Respect sovereignty
        |
        v
  [2] Test lawful resort to force
        |
        v
  [3] Distinguish civilians
        |
        v
  [4] Apply proportionality
        |
        v
  [5] Protect neutral aid
        |
        v
  [6] Assess arms end use
        |
        v
  [7] Check diversion risk
        |
        v
  [8] Monitor and suspend misuse
        |
        v
VERDICT -> Strategic purpose never removes civilian-protection and foreseeable-harm duties.
ANSWER USE -> Use for 2020 Q8, 2022 Q5(a) and 2025 Q2(a).
```

ASCII PANEL 11/12 - 11. Private-institution dilemma route

```
CENTRAL FOCUS
11. Private-institution dilemma route
  [1] State facts and stakeholders
        |
        v
  [2] Identify conflict or safety floor
        |
        v
  [3] Disclose material interest
        |
        v
  [4] Recuse or refuse certification
        |
        v
  [5] Preserve records
        |
        v
  [6] Seek independent review
        |
        v
  [7] Remedy affected persons
        |
        v
  [8] Redesign incentives and controls
        |
        v
VERDICT -> Private ownership does not erase patient, consumer or fair-process duties.
ANSWER USE -> Use for Sneha, food and defective-product cases.
```

ASCII PANEL 12/12 - 12. Mains answer spine

```
CENTRAL FOCUS
12. Mains answer spine
  [1] Define the precise ethical layer
        |
        v
  [2] State a qualified thesis
        |
        v
  [3] Name the governing mechanism
        |
        v
  [4] Use exact law or institution
        |
        v
  [5] Apply an India-centric example
        |
        v
  [6] Test the strongest limitation
        |
        v
  [7] Propose verifiable safeguards
        |
        v
  [8] Conclude with balanced duty
        |
        v
VERDICT -> High-scoring answers distinguish mechanisms before recommending an ethical balance.
ANSWER USE -> Use as the final theory and case-study checklist.
```

ONE-PAGE CONCEPT GRID

Concept / thinker	Exam-ready formulation
Ethics in business rejects a bolt-on ethics department	The ARC preference for ethics in business requires integrity to shape ordinary pricing, procurement, labour, accounting and environmental decisions rather than remain an external public-relations or training layer.
Corporate governance concerns accountable direction and control	Corporate governance is the structure through which a company is directed, supervised and held accountable, including board oversight, audit, disclosure, conflict management and scrutiny of related-party transactions.
Core-business ethics concerns the means of earning profit	Core-business ethics evaluates whether revenue is earned through honest accounts, safe products, fair labour, non-bribery and environmental responsibility; philanthropy cannot cleanse unethical operations.
CSR is distinct from governance structure and core conduct	CSR is a statutory, ring-fenced expenditure and transfer regime for qualifying companies; it supplements but does not replace ethical operations, board accountability or lawful compliance.
CSR applicability uses three alternative financial thresholds	Companies Act, 2013, s.135 applies when any one immediately preceding-year threshold is met: net worth of at least Rs 500 crore, turnover of at least Rs 1,000 crore, or net profit of at least Rs 5 crore.
The CSR base obligation is a two-percent formula	A qualifying company must spend at least two percent of the average net profits of the three immediately preceding financial years on eligible Schedule VII activities through its approved CSR framework.
Unspent CSR follows different ongoing and non-ongoing routes	The 2019 statutory architecture requires non-ongoing unspent amounts to reach a specified Schedule VII fund within six months, while ongoing-project amounts enter an Unspent CSR Account within thirty days and remain subject to the three-year completion route.
CSR impact assessment has a threshold and a separate cost cap	The 2021 rules introduced independent impact assessment for companies with an average CSR obligation of at least Rs 10 crore and qualifying completed projects; the 2022 amendment revised the assessment-cost cap to two percent or Rs 50 lakh, whichever is higher.
The agency problem requires independent oversight	Separation of ownership from managerial control can let executives pursue private, short-term or concealed interests; independent boards, audit and disclosure reduce this agency problem without eliminating judgment.
Stakeholder duties extend beyond shareholder returns	A stakeholder model treats employees, consumers, communities, the environment and future generations as legitimate constraints on profit-seeking, while a shareholder model centres duties to owners and long-term enterprise value.
SFIO is a statutory multidisciplinary fraud-investigation body	India's SFIO began by Government Resolution in 2003 and received statutory footing under Companies Act, 2013, s.211; its arrest power under s.212(8) requires material-based reason to believe guilt for the specified fraud offence.
SOX civil protection and criminal retaliation are separate	Sarbanes-Oxley s.806 provides a civil whistleblower remedy under 18 U.S.C. 1514A, whereas s.1107 created the separate criminal retaliation offence under 18 U.S.C. 1513(e), carrying the stated imprisonment exposure.

CORE REVISION SPINE

- **UNCAC is a treaty framework for States Parties:** UNCAC was adopted on 31 October 2003, entered into force on 14 December 2005, and binds States Parties through preventive, criminalisation, international-cooperation and asset-recovery obligations; India ratified it on 9 May 2011.
- **The ADB-OECD Action Plan is not the OECD Anti-Bribery Convention:** India endorsed the regional, non-binding ADB-OECD Anti-Corruption Action Plan in 2001, but India is not a party to the separate 1997 OECD Anti-Bribery Convention; cooperative and treaty status must not be conflated.
- **FCPA combines anti-bribery and issuer accounting rules:** The United States FCPA prohibits covered corrupt payments to foreign officials and separately requires issuers to maintain accurate books, records and adequate internal accounting controls, using an extraterritorial jurisdictional logic.
- **International anti-corruption mechanisms use distinct logics:** UNCAC uses treaty obligations, the ADB-OECD plan uses regional cooperation, lender conditions use financing leverage, and the FCPA uses domestic law with extraterritorial reach; these layers should not be collapsed into one mechanism.
- **Aid ethics requires recipient ownership:** Recipient ownership means resource-challenged countries should lead their development priorities; donor expertise and safeguards may support but should not displace locally accountable choice or reduce aid to paternalistic control.
- **Aid conditionality trades accountability against sovereignty:** Conditions attached to aid may protect funds, rights or reform objectives, but can also constrain sovereignty and self-determined development; ethical evaluation asks whether conditions are transparent, proportionate and connected to legitimate purposes.
- **Aid creates dual accountability and dependency risks:** Donors are accountable for fair, effective and non-corrupt design, while recipients are accountable for transparent use; long dependence can weaken local institutions, revenue effort or markets unless aid builds capacity and an exit path.
- **Non-refoulement requires a carefully qualified Indian answer:** Refugee Convention Article 33 prohibits return to threatened persecution for States Parties; India is not party to the 1951 Convention or 1967 Protocol, so Indian answers should add Article 21 protection and avoid treating an interim order as final settlement.
- **War ethics separates resort to force from conduct in war:** Sovereignty and lawful resort to force concern jus ad bellum, while distinction and proportionality govern jus in bello; humanitarian neutrality protects impartial access and does not erase accountability for violations.
- **Responsible arms export requires risk assessment:** A responsible arms-export decision weighs end use, diversion, civilian-harm and human-rights risk, regional stability, recipient conduct, strategic necessity and monitoring; commercial gain or friendship alone cannot settle the decision.
- **Conflict disclosure normally requires recusal and independent evaluation:** Where a procurement chair's close relative is a bidder, disclosure alone may not protect impartiality or its appearance; recusal, documented criteria and independent evaluation provide the proportionate governance response.
- **Product safety cannot be downgraded for domestic consumers:** Equal human dignity, consumer safety and professional integrity prohibit diverting export-rejected or defective goods into the Indian market merely to avoid loss; independent testing, recall, disclosure and remediation are required.

SOURCE AND ATTRIBUTION DISCIPLINE

The corrected canonical Topic 12 Basic and Advanced owners, the official syllabus mapping and books\ethics4.pdf control the doctrinal spine. Quote official PYQs only from the stated local GS-IV PDFs; routing ledgers establish ownership boundaries, not exact wording. Preserve ARC's ethics-in-business distinction: corporate governance structures, ethical core operations and CSR expenditure are separate layers. For qualifying companies CSR compliance is statutory, although lawful project choice remains; use the s.135 thresholds and two-percent formula exactly. Attribute the unspent architecture to the 2019 amendment and its operational detail to the 2021 rules; the 2021 rules introduced the qualifying impact-assessment mandate, while the 2022 amendment revised the assessment-cost cap. The dated 27 May 2026 MCA CSR/SSE change is included only as a canonical, access-restricted supplementary fact: a Schedule VII route for eligible zero-coupon zero-principal instruments, capped at ten percent of annual CSR expenditure, with no change to s.135 thresholds or the two-percent base obligation. Keep shareholder and stakeholder models, agency problem, independent board/audit/disclosure/related-party controls and greenwashing explicit. SFIO was set up by Government Resolution in 2003 and has statutory basis under

Companies Act, 2013, s.211; describe s.212(8) arrest power only with the material-based reason-to-believe condition. SOX s.806 is the civil remedy and s.1107 the criminal retaliation offence. FCPA includes anti-bribery and issuer accounting provisions. UNCAC binds States Parties; India signed on 9 December 2005 and ratified on 9 May 2011. The ADB-OECD Action Plan is distinct from the OECD Anti-Bribery Convention, to which India is not a party. Do not collapse treaty, cooperative, lender and extraterritorial mechanisms. Aid answers require ownership, conditionality, dependency and dual accountability. India is not party to the Refugee Convention or Protocol; use Article 21 carefully and treat Mohammad Salimullah as an interim order. War and arms answers should use sovereignty, distinction, proportionality, humanitarian neutrality and risk assessment without claiming India is an Arms Trade Treaty party. The 2024 technology-emissions case is Topic 13/22 primary and only a Topic 12 corporate-governance cross-link; the full 2024 Sneha case is the stronger Topic 12 private-institution anchor.

ANSWER SPINE

1. Define the precise ethical concept or teaching.
2. State a qualified thesis rather than a moral slogan.
3. Explain the causal or decision-making mechanism.
4. Add one specific Indian administrative illustration.
5. Test the strongest limitation or attribution caveat.
6. End with a practical, institution-aware verdict.

THREE-LAYER CORPORATE ETHICS MAP

- **Ethics in business:** ARC's preferred integration of integrity into ordinary commercial decisions; reject a bolt-on public-relations layer.
- **Corporate governance:** board direction and control through audit, disclosure, conflict management, related-party scrutiny and accountability.
- **Core-business ethics:** honest accounts, fair labour, safe products, non-bribery and environmental responsibility in profit-making operations.
- **CSR:** statutory ring-fenced spend for qualifying companies; valuable but not a moral offset for unethical operations.

CSR DOCTRINE AND CHRONOLOGY

- **Applicability:** immediately preceding financial year - net worth at least Rs 500 crore, or turnover at least Rs 1,000 crore, or net profit at least Rs 5 crore.
- **Base obligation:** at least two percent of average net profits of the three immediately preceding financial years on Schedule VII activities.
- **2019 architecture:** non-ongoing unspent amount to a specified fund within six months; ongoing amount to Unspent CSR Account within thirty days, then the three-year route.
- **2021 Rules:** ongoing-project definition, CSR-1 implementing-agency registration and qualifying independent impact assessment.
- **Impact trigger:** average CSR obligation at least Rs 10 crore in the three preceding years; qualifying project outlay at least Rs 1 crore and completion at least one year earlier.
- **2022 cost cap:** impact-assessment expenditure may be two percent of total CSR expenditure for that year or Rs 50 lakh, whichever is higher.
- **27 May 2026 bounded update:** Schedule VII route for eligible SSE zero-coupon zero-principal instruments, capped at ten percent of annual CSR expenditure; no threshold or two-percent change.

BOARD, FRAUD AND WHISTLEBLOWER CONTROLS

- **Agency problem:** managers may pursue private or short-term interests where ownership and control are separated.
- **Governance response:** independent oversight, audit quality, reliable disclosure, interest registers, recusal and related-party controls.

- **SFIO:** Government Resolution, 2 July 2003; statutory footing under Companies Act, 2013, s.211; bounded arrest power under s.212(8).
- **SOX:** s.806 is the civil whistleblower remedy; s.1107 created the criminal retaliation offence under 18 U.S.C. 1513(e).
- **Greenwashing test:** compare public commitments and CSR claims with audited core-operation outcomes and time-bound corrective plans.

INTERNATIONAL ANTI-CORRUPTION ARCHITECTURE

- **UNCAC:** adopted 31 October 2003; in force 14 December 2005; India signed 9 December 2005 and ratified 9 May 2011.
- **ADB-OECD Action Plan:** regional cooperative framework endorsed by India on 30 November 2001; not the OECD Anti-Bribery Convention.
- **OECD Anti-Bribery Convention:** India is not a party.
- **World Bank logic:** lender leverage and project-integrity conditions, distinct from treaty obligation.
- **FCPA:** anti-bribery rules plus issuer books-and-records and internal-accounting-control requirements; extraterritorial reach depends on statutory jurisdiction.

AID, REFUGEES, WAR AND ARMS

- **Aid ethics:** recipient ownership + proportionate conditionality + anti-dependency design + donor and recipient accountability.
- **Non-refoulement:** Refugee Convention Article 33; India is not party to the 1951 Convention or 1967 Protocol; add Article 21 and interim-order caution.
- **War ethics:** jus ad bellum sovereignty and necessity; jus in bello distinction, precautions and proportionality; humanitarian neutrality protects access.
- **Arms transfer:** assess end use, diversion, civilian harm, recipient record, regional stability and monitoring; do not claim Indian ATT membership.

PYQ AND ANSWER SPINE

- **2020 Q8:** responsible arms export requires a documented foreseeable-harm and end-use assessment.
- **2020 Q11:** APW is a qualified stakeholder-development model, not proof that CSR cures every operational risk.
- **2021 Q5(a):** protect against return to persecution while preserving Indian treaty-status and interim-order caution.
- **2021 Q11 and 2022 Q10:** Indian consumers cannot be treated as a lower safety class; refuse, test, recall, remedy and reform controls.
- **2022 Q6(b):** CSR is efficient as a statutory floor but insufficient without ethical core operations.
- **2022 Q7:** reject confidential rival data, preserve evidence, use competent channels and protect lawful competition.
- **2023 Q1(a)/(b):** integrate integrity with competence; balance aid ownership, conditions, dependency and dual accountability.
- **2024 Q10:** disclose and recuse; let an independent process assess the brother's bid against patient-centred criteria.
- **2025 Q2(a):** Clausewitz is descriptively useful but normatively bounded by sovereignty, restraint and civilian protection.
- **Answer method:** distinguish the ethical layer -> identify stakeholders and legal floor -> name the mechanism -> apply exact evidence -> test the strongest limitation -> propose verifiable safeguards -> conclude with a qualified duty.